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The Honorable Debbie-Anne A. Reese
Secretary
Federal Energy Regulatory Commission
888 First Street, N.E.
Washington, D.C. 20426-0001

Re: *PJM Interconnection, L.L.C., Docket No. ER27-____-000*
Proposed Amendments to the Reliability Backstop Procurement
Request for Waiver of Tariff Attachment DD, Sections 16.2 and 16.3

Dear Secretary Reese:

Pursuant to section 205 of the Federal Power Act ("FPA"),[1] the Federal Energy Regulatory Commission's ("Commission") Regulations,[2] PJM Interconnection, L.L.C. ("PJM") hereby submits proposed revisions to the PJM Open Access Transmission Tariff ("Tariff") that updates the Reliability Backstop Procurement ("RBP") rules to address, *inter alia*, issues identified in the Commission's September 29 Order.[3] Specifically, this filing proposes modifications to establish just and reasonable rules to (i) allocate responsibility for RBP Charges to certain Load Serving Entities ("LSE"); (ii) require LSEs responsible for RBP Charges to post an appropriate level of credit; and (iii) provide notice to LSEs exiting PJM of their continuing responsibility for RBP Charges allocated to them through the remainder of the RBP commitment term.[4] This FPA section 205 filing is

[1] 16 U.S.C. § 824d.

[2] 18 C.F.R. part 35.

[3] *PJM Interconnection, L.L.C.*, 196 FERC ¶ 61,245 (2026) ("September 29 Order").

[4] For the purpose of this filing, capitalized terms not defined herein shall have the meaning as contained in the PJM Tariff, Amended and Restated Operating Agreement, the Reliability Assurance Agreement Among

substantively identical to the October 29, 2026 filing submitted in Docket No. ER27-330-000,[5] but merely updates the eTariff metadata code to reflect this filing as a FPA section 205 filing rather than a compliance filing.[6]

PJM requests that most of the proposed revisions become effective on February 28, 2027—the same effective date for the RBP rules the Commission accepted in the September 29 Order.[7] However, because PJM is proposing certain pre-conduct of RBP activities from Electric Distributors, PJM has proposed one Tariff record to be effective January 29, 2027, which is 60 days from the date of the October 29 Fling. PJM is also requesting that the Commission issue an order on all aspects of this filing no later than January 29, 2027, to facilitate conduct of the RBP and provide participants the advance notice necessary for the efficient administration of the RBP.

Given that this filing is substantively identical to the October 29 Filing in Docket No. ER27-330-000, the deadline for comments and interventions should continue to be November 30, 2026, which is 21-days from the date of this filing and the same comment deadline that the Commission previously noticed.[8] Even accounting for the intervening holidays, issuance of an order by January 29, 2027, would still leave the Commission with approximately 60 days following the close of the comment period to consider the record

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Load Serving Entities in the PJM Region ("RAA"), and the PJM RBP filing under Docket No. ER26-3380-000. *See PJM Interconnection, L.L.C.*, Reliability Backstop Procurement to Address Resource Adequacy Concerns Stemming from Large Loads, Docket No. ER26-3380-000 (July 31, 2026) ("July 31 Filing").

[5] *PJM Interconnection, L.L.C.*, Proposed Amendments to the Reliability Backstop Procurement Request for Waiver of Tariff Attachment DD, Sections 16.2 and 16.3, Docket Nos. ER27-330-000, -001 (Oct. 29, 2026) ("October 29 Filing").

[6] PJM will withdraw the filing in Docket No. ER26-330-000.

[7] September 29 Order, 196 FERC ¶ 61,245 at P 1.

[8] *PJM Interconnection, L.L.C.*, Combined Notice of Filings #1, Docket No. ER27-330-000 (November 2, 2026).

and act on the filing. However, the Commission should not feel constrained to wait until January 29, 2027, to issue an order on the proposed RBP rules, but should feel free to issue an order whenever it feels appropriate before January 29, 2027.

In addition, through this filing, PJM also conditionally requests waiver of the requirement in Tariff, Attachment DD, section 16.2 for PJM to "investigate the cause for the shortage, and recommend corrective action"[9] in the event the 2029/2030 Base Residual Auction clears short of the reliability requirement. Likewise, should the 2029/2030 Delivery Year Base Residual Auction clear short, resulting in three consecutive Delivery Years with insufficient capacity procurement, PJM conditionally requests waiver of the requirement in Tariff, Attachment DD, section 16.3 that PJM "declare a capacity shortage and make a filing with FERC for approval to conduct a Reliability Backstop Auction" following three consecutive Delivery Years in which the Base Residual Auction clears short. As discussed below in Part IV, the Commission should grant this one-time, prospective waiver.

I. BACKGROUND

On July 31, 2026, PJM filed a comprehensive proposal to establish the RBP, a targeted, one-time procurement mechanism designed to address emerging resource adequacy challenges driven principally by the rapid growth of Large Loads and the resulting acceleration of capacity needs across the PJM Region.[10] In its September 29 Order, the Commission accepted PJM's proposed RBP framework, but suspended the Tariff revisions for a period of five months and established additional procedures to further

[9] Tariff, Attachment DD, section 16.2.

[10] *See* July 31 Filing.

examine three discrete aspects of the proposal: cost allocation, Transmission Owner exit provisions, and LSE collateral requirements.[11] While the Commission initiated a paper hearing and a related proceeding under section 206 of the FPA to develop a more complete record regarding those issues, it also expressly and strongly encouraged PJM to submit, an alternative proposal pursuant to its FPA section 205 filing rights to address the concerns identified in the order.[12]

PJM submits this section 205 filing in accordance with the Commission's guidance from the September 29 Order. The revisions proposed herein are carefully tailored to address the specific issues identified by the Commission while preserving the fundamental structure and policy objectives of the RBP framework that the Commission otherwise accepted in the September 29 Order.[13] Consistent with the Commission's direction, this filing presents targeted modifications to the RBP's cost allocation, exit responsibilities, and collateral provisions that are intended to resolve the Commission's remaining areas of concern, strengthen the overall design of the RBP, and facilitate timely implementation of a mechanism that is needed to address pressing reliability and resource adequacy risks. By narrowing the issues in dispute and building upon the framework that the Commission has

[11] September 29 Order, 196 FERC ¶ 61,245 at P 24.

[12] September 29 Order, 196 FERC ¶ 61,245 at P 28.

[13] While 18 CFR § 35.17(d) generally prohibits amendments to tariff sections that are in suspension, good cause exists for PJM to request a waiver of 18 CFR § 35.17(d) to the extent necessary given that the Commission "strongly encourage[d] PJM to address the issues discussed in the [RBP] order by submitting an alternative proposal pursuant to its FPA section 205 filing rights without delay." September 29 Order at P 28. Updating the relevant suspended tariff sheets promotes administrative efficiency as it allows PJM to address the discrete issues raised by the Commission in its September 29 Order without delay through this section 205 filing. Further, "[t]he Commission has stated that the purpose behind section 35.17 is to limit instances in which the Commission and the utility's customers must confront and evaluate a 'moving target' of rate levels designed to avoid the consequences of a maximum suspension period." *W. Tex. Util. Co.*, 30 FERC ¶ 61,292 (1985). Here, the Commission issued an abeyance of the paper hearing stemming from Docket No. ER26-3380-000 that placed the relevant tariff records in suspension so no such moving target exists.

already found generally just and reasonable, this filing will promote administrative efficiency, reduce regulatory uncertainty, and enable PJM to move forward with the RBP on an expedited basis.[14] Through this section 205 filing, PJM has addressed the issues set for paper hearing in the September 29 Order.

PJM respectfully submits that each aspect of the filing is just and reasonable. Nevertheless, to facilitate prompt Commission action and avoid further delay in the implementation of the RBP, PJM consents to the Commission's exercise of its authority, to the extent permitted under section 205 of the FPA and *NRG Power Marketing, LLC v. FERC*,[15] to modify, reject, or sever discrete elements of the proposed Tariff revisions while accepting the remainder of the filing. Such an approach, if deemed necessary by the Commission, would preserve the benefits of the proposed reforms and support the timely commencement of the RBP.

II. PROPOSED UPDATES THAT ADDRESS ISSUES IDENTIFIED IN THE COMMISSION'S SEPTEMBER 29 ORDER

A. PJM Proposes Updates that Directly Address the Commission's RBP Cost Allocation Concerns.

Under FPA section 205, cost allocation must be grounded in the principle that costs are assigned to those who cause them or benefit from the facilities and services provided.[16] At the same time, courts have long recognized that cost causation is not a standard of

[14] The pieces of the RBP that are not proposed to be modified through this filing are not further discussed in this filing given that the Commission accepted all of the proposed RBP rules in its September 29 Order. To the extent necessary, the Commission may take administrative notice of PJM's initial RBP filing in Docket No. ER26-3380-000.

[15] *NRG Power Mktg., LLC v. FERC*, 862 F.3d 108, 114-15 (D.C. Cir. 2017).

[16] *E.g.*, *Pub. Serv. Elec. & Gas Co. v. FERC*, 989 F.3d 10, 13 (D.C. Cir. 2021) (The Commission "has long viewed the just-and-reasonable requirement" under FPA section 205 "to incorporate a cost-causation principle." (internal quotation marks and citation omitted)); *Ill. Com. Comm'n v. FERC*, 576 F.3d 470, 476 (7th Cir. 2009).

mathematical precision. Indeed, courts have long recognized that "it would no doubt be impossible, even if desirable, to formulate a rate scheme with such precision that each customer—or even customer group—is made to bear the exact cost of the service he received."[17] Therefore, costs need not be "allocate[d] . . . with exacting precision."[18] Rather, they need only "be allocated in a manner that is *roughly* commensurate with the benefits received."[19] Consistent with this standard, the Commission possesses broad discretion to evaluate whether a proposed cost allocation reasonably aligns cost responsibility with causation and benefits.[20]

As an initial matter, the Commission largely agreed with the foundational premise of PJM's proposed RBP cost allocation methodology: the costs of procuring new capacity to address reliability concerns arising from large load growth should be assigned to the zone/areas experiencing that growth. Specifically, the Commission's September 29 Order explained that:

> allocating RBP costs to Electric Distributor zone/areas based on a "snapshot" of load growth between 2026/2027 and 2028/2029, adjusted down by qualifying offset capacity, may be just and reasonable, because it reasonably assigns costs to those responsible for the near-term capacity shortfall. Thus, such zone/areas benefit from procurement of new resources to fill this urgent gap. We generally find that PJM's proposal to initially assign RBP costs to Electric Distributor zone/areas, with the ultimate cost allocation to the LSEs as determined by the state and/or [Relevant Electric Retail Regulatory Authority ("RERRA")] and as reported to the Electric

[17] *Ala. Elec. Coop., Inc. v. FERC*, 684 F.2d 20, 28 (D.C. Cir. 1982); *see also Sithe/Indep. Power Partners, L.P. v. FERC*, 285 F.3d 1, 5 (D.C. Cir. 2002) (explaining the Court has consistently upheld rates based on cost-causation principles as applied in *Alabama Electric Cooperative*).

[18] *Ill. Com. Comm'n*, 576 F.3d at 477 (quoting *Midwest ISO Transmission Owners v. FERC*, 373 F.3d 1361, 1369 (D.C. Cir. 2004)).

[19] *City Util. of Springfield v. FERC*, 185 F.4th 1262, 1271 (D.C. Cir. 2026) (internal quotation marks and alteration omitted).

[20] *City Util. of Springfield*, 185 F.4th at 1273.

> Distributor by PJM, may be just and reasonable, as it reflects the authority of PJM under the Tariff and respects the authority of the states and/or RERRAs.[21]

The Commission's concerns were therefore not directed at the underlying cost allocation to the zone/area. Rather, the Commission questioned whether PJM's use of Load Adjustment data provided the most accurate means of identifying the Large Load growth that is driving the need for the RBP.[22] More particularly, the Commission was concerned with "relying on Load Adjustments to measure load growth [because that] may be inconsistent or not reasonably capture forecasted load growth or actual large load growth."[23] That is, some large loads may be reflected in PJM's underlying load forecast rather than in the incremental Load Adjustments used in PJM's initial proposal.[24] Consequently, the Commission was concerned that the use of the Load Adjustment delta "could lead to the costs imposed on certain entities not being at least roughly commensurate with the benefits they will receive from the procurement."[25]

This filing directly addresses the Commission's concern by allocating the "RBP costs to the Electric Distributor zone/areas with the reported new load that is driving the need for the procurement."[26] Specifically, rather than relying on Load Adjustment data as a proxy for Large Load growth, PJM is proposing to require Electric Distributors outside

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[21] September 29 Order, 196 FERC ¶ 61,245 at P 154.

[22] PJM is utilizing the recently accepted definition of Large Load to capture only those loads that are end-use customer load that has a cumulative peak load of 50 MW or greater at a single electrical site behind one or more points of interconnection.

[23] September 29 Order, 196 FERC ¶ 61,245 at P 154.

[24] September 29 Order, 196 FERC ¶ 61,245 at P 155.

[25] September 29 Order, 196 FERC ¶ 61,245 at P 155.

[26] September 29 Order, 196 FERC ¶ 61,245 at P 159.

of a Fixed Resource Requirement ("FRR") Service Area to report, by no later than seven days prior to the commencement of the RBP, the aggregate incremental peak Large Load growth between the 2026 actual summer peak and the 2028/2029 Delivery Year expected summer peak to PJM.[27] This updated approach will better align cost responsibility with the specific Large Load growth that necessitates the RBP while preserving the cost-allocation framework that the Commission otherwise found to be just and reasonable.

1. Requiring Electric Distributors to report the Large Load increase between 2026 and the expected 2028/2029 Delivery Year will allow RBP cost allocation to all incremental Large Loads.

Requiring each Electric Distributor to report the aggregate incremental Large Load growth between the 2026 actual summer peak and the 2028/2029 Delivery Year expected summer peak is consistent with Commission precedent.[28] Indeed, Electric Distributors already report actual and forecasted peak loads to PJM today. This proposal merely requires Electric Distributors to provide a more granular subset of information relating specifically to Large Load growth. Under this proposal, each Electric Distributor outside an FRR Service Area will be required to report the aggregate incremental quantity of Large Load, where the Large Load quantity for each load is calculated as the difference between: (1) the actual summer peak load associated with the Large Load in 2026; and (2) the expected summer peak load associated with Large Load for the 2028/2029 Delivery Year.[29]

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[27] Proposed Tariff, Attachment DD, section 18.3A.

[28] *See PJM Interconnection, L.L.C.*, 197 FERC ¶ 61,019, at PP 48-50 (2026); *see also PJM Interconnection, L.L.C.*, 188 FERC ¶ 61,200, at P 40 & n.65 (2024) (finding that an "Electric Distributor is the party with the distribution and metering facilities defining a zone/area and responsible for reporting load information to PJM," and also noting that, "under the current framework, each LSE already reports their peak load contribution to the Electric Distributor, which is the entity ultimately responsible for reporting that information to PJM").

[29] Proposed Tariff, Attachment DD, section 18.3A.

Additionally, Electric Distributors will be required to report the identity of the Large Load that is supported by an electric service obligation, construction commitment, or equivalent agreement.[30] Because Electric Distributors maintain the direct distribution and metering relationships associated with these loads and already serve as PJM's primary source of zonal load information, they are uniquely and aptly positioned to provide the most accurate and comprehensive information regarding incremental Large Load growth.

Consistent with PJM's load forecasting process, the expected quantity of Large Load for the 2028/2029 Delivery Year reported under this proposal should largely align with the information the Electric Distributor previously provided to PJM for development of the applicable load forecast. However, because Large Load development is dynamic, circumstances may change after submission of forecast data and before the reporting of Large Load values for purposes of establishing the Reliability Pricing Model ("RPM") procurement targets. This could potentially include new Large Loads that are now expected to be online by the 2028/2029 Delivery Year that may not have previously been expected at the time PJM developed the load forecast. Conversely, there could be electric service agreements with Large Loads that are canceled between the time Electric Distributors initially reported the data as part of PJM's load forecast process and when the Electric Distributors report expected Large Loads for RBP purposes. In either case, the proposal requires an Electric Distributor to "provide an explanation for any deviation between the expected quantity of Large Loads for the 2028/2029 Delivery Year and the values provided by the Electric Distributor to [PJM] as part of the development for the load

[30] Proposed Tariff, Attachment DD, section 18.3A.

forecast."[31] As always, PJM maintains the ability to refer Electric Distributors to the Commission's Office of Enforcement in the event the reported information is significantly different from what the Electric Distributor reported as part of PJM's load forecast development process and such deviations are not sufficiently explained. This requirement safeguards against potential incorrect submissions while allowing PJM to rely on the most current available information.

The proposed approach also satisfies the Commission's cost-causation standards because it assigns costs in a manner that is roughly commensurate with the benefits received.[32] Cost causation requires that "all approved rates reflect *to some degree* the costs actually caused by the customer who must pay them."[33] Indeed, as the courts have held, "nothing requires the Commission to ensure full or perfect cost causation,"[34] and the Commission "is not bound to reject any rate mechanism that tracks the cost causation principle less than perfectly."[35]

Here, the data reported by Electric Distributors represent the most practical and administratively feasible measure of incremental Large Load growth for purposes of establishing a cost allocation approach that will assign costs to the zone/areas where the

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[31] Proposed Tariff, Attachment DD, section 18.3A.

[32] *Ill. Com. Comm'n*, 576 F.3d at 477 (requiring "an articulable and plausible reason to believe that the benefits are at least roughly commensurate with [the costs]"); *Transmission Planning and Cost Allocation by Transmission Owning and Operating Public Utilities*, Order No. 1000, 136 FERC ¶ 61,051, at PP 622, 639 (2011) (requiring costs of regional transmission facilities to be allocated in a manner that is at least roughly commensurate with estimated benefits), *order on reh'g & clarification*, Order No. 1000-A, 139 FERC ¶ 61,132, *order on reh'g & clarification*, Order No. 1000-B, 141 FERC ¶ 61,044 (2012), *aff'd sub nom.*, *S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41 (D.C. Cir. 2014) ("*South Carolina PSA*").

[33] *K N Energy v. FERC*, 968 F.2d 1295, 1300 (D.C. Cir. 1992) (emphasis added); *see also Midwest ISO Transmission Owners*, 373 F.3d at 1368 (quoting *K N Energy*, 968 F.2d at 1300)).

[34] *South Carolina PSA*, 762 F.3d at 88.

[35] *Sithe/Indep. Power Partners*, 285 F.3d at 5.

incremental Large Loads will be located. While no cost allocation methodology can achieve perfect precision, the Commission has repeatedly recognized that feasibility considerations are relevant and that cost-causation principles need only be applied in a reasonably accurate and practical manner.[36] By relying on Electric Distributor's reported incremental Large Load growth at the zonal or area level, the proposal tracks the costs associated with emerging Large Load demand to the most granular level that is reasonably feasible and therefore satisfies the Commission's cost-causation requirements.

To be clear, the information required under this proposal will initially be reported separately from the Large Load Registry that the Commission recently accepted because the information required from the Electric Distributors serves a different purpose. Specifically, the reporting requirement here is targeted to quantify incremental Large Load growth between 2026 and the 2028/2029 Delivery Year for purposes of establishing the Initial RBP Target. Nonetheless, to the extent appropriate, certain information submitted through this process may ultimately be incorporated into the Large Load Registry.

2. RBP costs will be allocated to the zone/areas associated with incremental Large Loads.

Based on information provided by Electric Distributors, PJM will allocate the Initial RBP Target among Electric Distributor zone/areas in proportion to each zone/area's share of the total incremental Large Load growth. PJM will then reduce a zone/area's allocated share to the extent PJM receives the requisite evidence, as detailed in Tariff,

[36] *South Carolina PSA*, 762 F.3d at 88; *Midwest ISO Transmission Owners*, 373 F.3d at 1368-69; *Pub. Serv. Comm'n of Wis. v. FERC*, 545 F.3d 1058, 1066-67 (D.C. Cir. 2008); *Carnegie Nat. Gas Co. v. FERC*, 968 F.2d 1291, 1293-94 (D.C. Cir. 1992) (noting that, in the section of the Natural Gas Act likened to FPA section 205, there is "no requirement in the Act itself that rates precisely match cost causation and responsibility" and that instead "the Commission may rationally emphasize other, competing policies and approve measures that do not best match cost responsibility and causation").

Attachment DD, section 18.2(c),[37] of new capacity in the form of Qualifying RBP Offset UCAP MW that is the subject of a bilateral agreement with a Large Load.[38] In addition, to the extent an Electric Distributor requests, with the required accompanying support pursuant to Tariff, Attachment DD, section 18.1(d), that the Initial RBP Target be decremented to reflect the associated MW quantity of load participating in a qualifying Peak Shaving Adjustment program, the Initial RBP Target may be further reduced.[39] After accounting for all Qualifying RBP Offset UCAP MW and any applicable Peak Shaving Adjustment opt-out, PJM will determine each zone/area's adjusted incremental Large Load quantity. That quantity, floored at zero, will serve as the basis for calculating the zone/area's pro rata share of the Final RBP Target MW. Ms. Danielle Croop, PJM's senior manager of market design, provides a detailed example that demonstrates how the RBP obligations will be allocated to each Electric Distributor's zone/area.[40]

This approach is consistent with the Commission's determination that "[a]llocating RBP costs based on a snapshot of this shortfall over the term of the RBP commitment period may provide greater certainty to the LSEs in the Electric Distributor zone/areas ultimately bearing responsibility for those costs."[41] Accordingly, PJM proposes to continue using a snapshot of incremental Large Load growth between the 2026 summer peak and the forecasted summer peak for the 2028/2029 Delivery Year to establish each

[37] Specifically, evidence of Qualifying RBP Offset UCAP MW must include signed bilateral contracts with Large Loads for at least five Delivery Years with a commercial operation date prior to the start of the 2032/2033 Delivery Year as further detailed in Tariff, Attachment DD, section 18.2(c).

[38] Proposed Tariff, Attachment DD, section 18.2(c).

[39] Proposed Tariff, Attachment DD, section 18.1(d).

[40] Affidavit of Danielle Croop on Behalf of PJM Interconnection, L.L.C. (Attachment D) ¶¶ 19-27 ("Croop Aff.").

[41] September 29 Order, 196 FERC ¶ 61,245 at P 156.

zone/area's share of the Final RBP Target MW. That allocation to the zone/area will remain fixed throughout the 15-year RBP commitment period. Maintaining a fixed allocation to the zone/area promotes certainty, provides transparent cost responsibility at the outset of the commitment period, and avoids repeated reallocation of costs to different zone/areas during the term of the RBP Resource commitment.

3. PJM will further allocate RBP Charges to relevant LSEs in the zone/areas with incremental Large Loads.

PJM is retaining the mechanism through which RBP Charges may be more granularly allocated to LSEs within an Electric Distributor's zone/area. As noted, above, the September 29 Order held that "the ultimate cost allocation to the LSEs as determined by the state and/or RERRA and as reported to the Electric Distributor . . . may be just and reasonable[.]"[42] Specifically, RBP Charges may be allocated based on "the state and/or RERRA-determined allocation of cleared RBP UCAP MW to LSEs within each Electric Distributor's zone/area, as reported by each Electric Distributor to [PJM]."[43] Likewise, PJM is maintaining the term, "RBP Obligation" or "RBO" to provide flexibility for states and/or RERRAs to further determine which retail customers should be allocated RBP Charges.[44]

The RBO framework provides states and RERRAs, through the relevant Electric Distributors, with flexibility to determine how cost responsibility for RBP Resources should be allocated among LSEs serving load within a zone/area. To facilitate more

[42] September 29 Order, 196 FERC ¶ 61,245 at P 154.

[43] Tariff, Attachment DD, section 18.3(b)(iii).

[44] Tariff, Part 1, Definitions – R-S, RBP Obligation ("'RBP Obligation' or 'RBO' shall mean the state and/or RERRA-determined allocation of RBP UCAP MW to Load Serving Entities within each Electric Distributor's zone/area.").

targeted cost allocation, an Electric Distributor may report to PJM an RBO allocation identifying the RBP UCAP MW assigned to individual LSEs in the zone/area. Where an RBO is reported, PJM will allocate the daily RBP Charges to each LSE based on its proportionate share of the reported RBO MW. In this way, states and RERRAs may direct relevant Electric Distributors to report RBO so that RBP costs can more precisely be allocated to the LSEs serving the Large Loads that drive the need for the RBP Resources.

Electric Distributors electing to provide RBO allocations must submit the initial allocation no later than 120 days before the start of the 2028/2029 Delivery Year.[45] PJM proposes this deadline to allow sufficient time for the calculation and communication of each affected LSE's credit requirements before collateral must be posted. PJM has advanced this deadline from the 60-day period proposed in the July 31 Filing to provide LSEs with additional notice regarding their potential credit obligations and adequate time to arrange and post collateral. Importantly, the 120-day reporting deadline serves solely to establish the initial allocation sufficiently in advance of the commencement of the 2028/2029 Delivery Year. That is, Electric Distributors do not have a continuing obligation to report RBO to PJM by a certain deadline prior to the commencement of a subsequent Delivery Year after the 2028/2029 Delivery Year. Rather, Electric Distributors may report updates to the RBO any time after the start of the 2028/2029 Delivery Year to reflect changes to the initial allocation. This may occur, as an example, if a Large Load switches LSEs after the initial RBO is reported to PJM.

[45] Proposed Tariff, Attachment DD, section 18.3(b)(iii).

PJM must be able to settle RBP Charges regardless of whether an Electric Distributor submits an RBO allocation. Accordingly, if no RBO MW are reported for a zone/area, PJM will apply a backstop allocation methodology based on the existing methodology for allocating capacity costs pursuant to RAA, Schedule 8.[46] Under this approach, if no allocation is reported by the relevant Electric Distributors with allocated RBP UCAP MW, PJM will allocate RBP Charges among LSEs in the relevant zone/area using each LSE's proportional Daily Unforced Capacity Obligation. This fallback methodology allows PJM to calculate and settle wholesale charges among its jurisdictional customers even in the absence of state- or RERRA-directed RBO allocations.

4. The proposed allocation methodology respects the federal-state jurisdictional boundary; cost allocation to retail customers, including data centers, is within the states' and/or RERRAs' purview.

The proposed methodology also appropriately respects the longstanding division of jurisdiction between PJM and the states. As the Commission recognized, "states determine how Commission-approved rates are collected among the relevant retail consumers along with the rates for state-jurisdictional matters."[47] Consistent with that principle, PJM's proposal governs only the allocation of RBP Charges among wholesale market participants, specifically the LSEs responsible for paying those charges.

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[46] Proposed Tariff, Attachment DD, section 18.3(b)(iii) ("If no RBO MW are reported to the Office of the Interconnection for an Electric Distributor zone/area, PJM will allocate the RBP Charges for that zone/area to all load in the zone/area using each LSE's ratio share of the Daily Unforced Capacity Obligation for the zone/area as determined in RAA, Schedule 8. PJMSettlement shall be the Counterparty to each LSE's obligation to pay, and payments of, RBP Charges.").

[47] September 29 Order, 196 FERC ¶ 61,245 at P 161 (quoting *PJM Interconnection, L.L.C.*, 195 FERC ¶ 61,211, at P 69 (2026)).

PJM does not propose, and lacks authority, to dictate how any LSE subsequently allocates or recovers those costs from retail customers. Thus, even where PJM applies its default LSE-level allocation methodology because no RBO has been reported, PJM would not determine how costs are ultimately assigned among retail customers served by those LSEs. In this way, the proposed approach appropriately allocates wholesale cost responsibility while preserving the ability of states and RERRAs to determine how those costs should be reflected at the retail level. In short, the proposal maintains a framework through which states and RERRAs may, if they choose, direct RBP costs more precisely to the specific Large Load retail customers whose load growth drives the need for the underlying RBP Resources.

B. Credit Requirements of LSEs Commensurate with Risks (Proposed Tariff, Attachment DD, Section 18.8).

PJM is proposing revisions to the LSE credit rules in Tariff, Attachment DD, section 18.8(b) that the Commission accepted, subject to refund and further procedures, in the September 29 Order.

In the July 31 Filing, and as accepted subject to the outcome of a paper hearing, PJM proposed to establish an initial RBP Credit Rate of $1.5 million per committed RBP UCAP MW, which would collateralize approximately 50% of the (up to) 15-year contractual payment obligation to the committed RBP Resources. The Commission identified several issues that, "[t]aken together," led the Commission to find that PJM's initial RBP LSE credit rules may be unjust and unreasonable.[48] Specifically, the Commission indicated that PJM did not adequately support the level of RBP Charges that

[48] September 29 Order, 196 FERC ¶ 61,245 at P 205.

PJM asserted needed to be collateralized "with any quantitative measures, including an expected probability of default, a loss-given-default assumption, a historical LSE default experience, a liquidation or replacement period, or any other quantitative measure."[49] The Commission also found that PJM's proposed LSE credit rules provided LSEs "little flexibility . . . to manage their collateral requirements, including a short timeline for [learning of] and posting collateral and limited, acceptable forms of collateral."[50] Thus, the Commission held that PJM did not demonstrate that its proposed approach struck "a reasonable balance . . . against the risk of default and ensuring market participants have adequate flexibility to manage their collateral requirements."[51]

PJM has re-evaluated its initial proposal in light of the Commission's guidance and developed a new RBP Credit Rate along with revisions to other aspects of the LSE credit rules to provide LSEs greater flexibility. PJM proposes five broad changes to the RBP LSE credit rules:

(1) establish, using objective data, a revised uniform credit rate, based on quantitative analyses, for LSEs allocated responsibility for RBP Charges to post collateral;[52]

(2) lengthen the timeframe from when an LSE is assigned responsibility for RBP Charges before a Delivery Year to the time by which collateral must be posted;[53]

(3) broaden the instruments that may be used to provide collateral to include surety bonds in addition to Letters of Credit and cash;[54]

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[49] September 29 Order, 196 FERC ¶ 61,245 at P 205.

[50] September 29 Order, 196 FERC ¶ 61,245 at P 205.

[51] September 29 Order, 196 FERC ¶ 61,245 at P 205.

[52] *See* proposed Tariff, Attachment DD, section 18.8(b)(i)(B).

[53] *See* proposed Tariff, Attachment DD, section 18.3(b)(iii) and proposed Tariff, Attachment DD, section 18.8(b)(i)(B).

[54] *See* proposed Tariff, Part 1, Definitions – R-S, RBP Collateral.

(4) memorialize a commitment to review the RBP Credit Rate used to determine the credit requirement for LSEs assigned responsibility for RBP Charges;[55] and

(5) clarify that an LSE's payment obligations for committed RBP Resources, i.e., both RBP Charges and associated RPM capacity payments will not be considered in determining such LSE's Peak Market Activity.[56]

As discussed below, these revisions offer an approach that strikes "a reasonable balance between protecting PJM's markets and its members against the risk of default and ensuring that market participants have adequate flexibility to manage their collateral requirements."[57]

1. PJM is proposing a revised RBP Credit Rate, determined using objective, quantitative analyses, for LSEs allocated responsibility for RBP Charges.

a. PJM derived the revised RBP Credit Rate based on an economic analysis of quantitative and qualitative inputs.

The 15-year term of RBP commitments is markedly different from all other forward payment obligations contemplated by PJM's credit rules today. To address this credit risk in a just and reasonable manner, PJM considered a number of different approaches with an eye toward approaches that would minimize costs to LSEs and appropriately mitigate cost of socialized default on PJM Members. Specifically, PJM considered credit approaches that would provide more fluid and constant assessments of credit risk and vary the collateral required, based on either new data as it becomes known (e.g., RPM Auction clearing prices) or forecasts of variable data (e.g., RPM Auction clearing prices). But, as Ms. Gwen Kelly explains, an approach based on forecasts would fail to adequately mitigate

[55] *See* proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

[56] *See* proposed Tariff, Attachment DD, section 18.8.

[57] *PJM Interconnection, L.L.C.*, 186 FERC ¶ 61,055, at P 27 (2024).

risk to Members as "PJM could be left with insufficient collateral to secure the LSE's payment obligations"[58] because their efficacy would be dependent on the accuracy of "forecasts of RPM clearing prices extending many years into the future."[59] Ultimately, as proposed in this filing, PJM selected an approach that collateralizes the entire payment obligation to an RBP Resource, i.e., both the BRP Charge (which is a contract for difference) and the resource's RPM capacity payment. As Ms. Kelly testifies, "PJM favors a methodology that establishes meaningful credit protection based on long-term RBP commitments rather than making that protection substantially dependent on forecasts of future RPM clearing prices or on the ability to obtain additional collateral over time."[60] That is, PJM's approach does not require forecasting of future RPM clearing prices or annual adjustments based on the applicable RPM capacity payment for a given Delivery Year. Rather, PJM is maintaining its initial approach of establishing a single credit obligation applicable to the entire RBP payment obligation through application of a uniform RBP Credit Rate for each RBP UCAP MW for which an LSE is assigned cost responsibility.

However, PJM determined that its approach to determining the RBP Credit Rate should be revisited. Ms. Kelly testifies that "PJM sought to identify the collateral percentage at which the combined expected costs of posting collateral and socialized default amounts are minimized."[61] Given that "[t]hese costs generally move in opposite

[58] Affidavit of Gwen Kelly on Behalf of PJM Interconnection, L.L.C. (Attachment C) ¶ 13 ("Kelly Aff.").

[59] Kelly Aff. ¶ 11.

[60] Kelly Aff. ¶ 14.

[61] Kelly Aff. ¶ 19.

directions,"[62] PJM "performed an economic analysis evaluating the cost of posting collateral and the expected cost of socialized default amounts at different collateral levels, expressed as percentages of the net present value of the total RBP payment obligation" to determine the appropriate collateral percentage, i.e., the RBP Credit Rate.[63] In performing this economic analysis, PJM considered the following inputs: the weighted-average RBP clearing price, the credit quality of the portfolio of LSEs active in PJM, the probability of default, the loss given default, and the cost of posting collateral.[64]

Ms. Kelly details in her affidavit how PJM developed and considered these quantitative and qualitative inputs.[65] The results of PJM's economic analysis is presented in Table 1 below.

[62] Kelly Aff. ¶ 18.

[63] Kelly Aff. ¶ 22.

[64] Kelly Aff. ¶ 23. Ms. Kelly also testifies that "PJM has used a discount rate of 9.5%, based on the capacity market Weighted Average Cost of Capital developed by The Brattle Group as part of PJM's 2025 periodic review of the Cost of New Entry of Capacity Resources into the PJM Region. PJM considers this rate appropriate for purposes of calculating the net present value of the total RBP payment obligation." Kelly Aff. ¶ 24.

[65] *See* Kelly Aff. ¶¶ 25-38.

Table 1: Cost of Socialized Default Amount

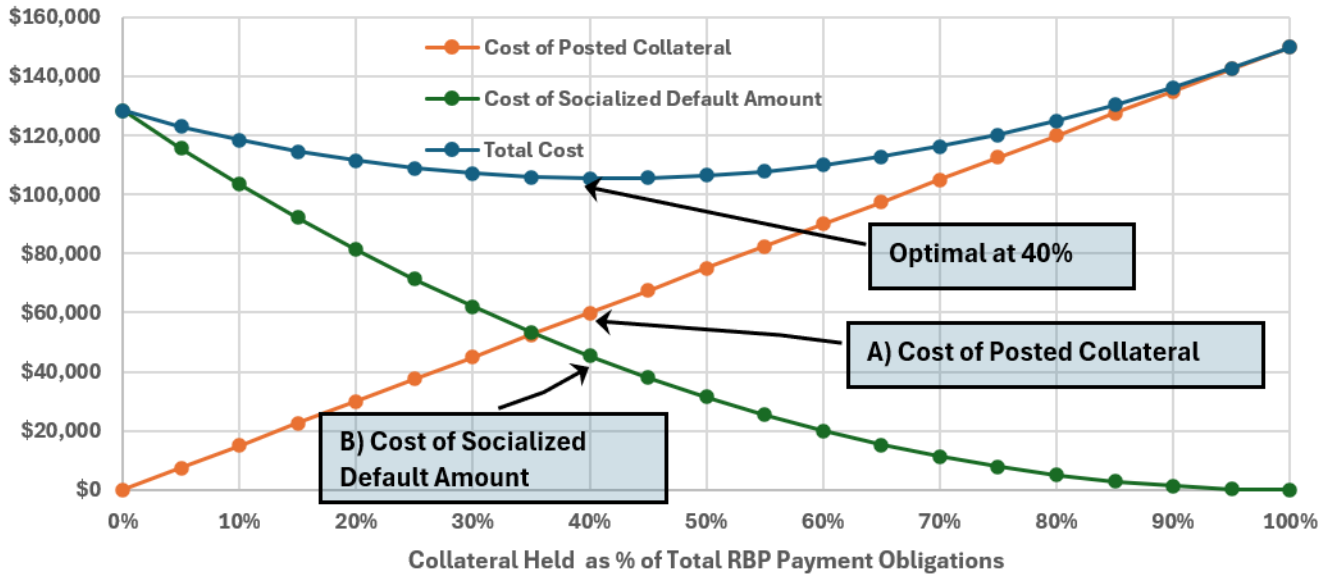
a) LSE Credit Ratings (weighted average)	BBB	
b) Probability of Default	4.05%	
c) Loss Given Default	100%	
d) expected default %	2.4%	adjusted by the amount posted to PJM
e) Defaulted Amount	$73,839	=$555 x 1 x 365 x 15 x 2.4%
f) Collateral Held	$29,535	=$73,839 x 40%
g) Socialized Amount (=Defaulted Amount- Collateral Held)	$44,303	=$73,839 - $29,535
h) Socialized Cost to Non Default LSEs	$45,407	=$44,303 / (1-2.4%)

PJM then took these inputs to evaluate "the combined expected costs of posting collateral and socialized default amounts at different collateral levels, expressed as percentages of the discounted total RBP payment obligation."[66] Ms. Kelly explains that "the combined cost of posting collateral and expected socialized default amounts is minimized at a collateral level equal to 40% of the net present value of the total RBP payment obligation,"[67] as shown in Figure 1 below.

[66] Kelly Aff. ¶ 39.

[67] Kelly Aff. ¶ 40.

Figure 1: Optimal Collateralization



As Ms. Kelly explains, this 40% rate "does not represent the percentage of gross RBP payments that PJM expects LSEs to pay through contract-for-differences settlements," rather, it represents the rate at which "the combined cost of posting collateral and expected socialized default amounts" are minimized.[68] Or stated another way, it is an economically optimal rate.

In sum, following the Commission's guidance in the September 29 Order,[69] PJM performed an economic analysis, that considered the qualitative measure of the credit quality of the portfolio of LSEs active in PJM and the quantitative measure of probability of default, the loss given default, and the cost of posting collateral. Based on such analysis,

[68] Kelly Aff. ¶ 42.

[69] *See* September 29 Order, 196 FERC ¶ 61,245 at P 205 (finding that PJM did not support the initial RBP Credit Rate "with any quantitative measures, including an expected probably of default, a loss-given-default assumption, a historical LSE default experience, a liquidation or replacement period, or any qualitative measure").

PJM proposes to set the RBP Credit Rate at 40% of the net present value of the total RBP payment obligation.[70]

Applying the proposed new RBP Credit Rate at an assumed weighted-average RBP clearing price of $555/MW-day, Ms. Kelly finds that "the proposed methodology produces an illustrative RBP Credit Rate of approximately $686,000 per MW. This amount is equivalent to approximately 3.4 years of undiscounted RBP payments per MW."[71] This represents a significant reduction from the $1.5 million/MW RBP Credit Rate PJM initially proposed—a reduction in cost to post to affected LSEs which naturally results in a tradeoff reduction in the collateral coverage that protects PJM Members against socialized default amounts. Given that for the purposes of this example PJM assumed the weighted-average RBP clearing price would be at maximum allowable value of $555/MW-day,[72] the illustrative RBP Credit Rate of approximately $686,000 per MW is the highest possible RBP Credit Rate and would be lower to the extent the MW-weighted average of the levelized procurement cost of all committed RBP Resources is less than $555/MW-day.

b. Clarifying revisions for determining cumulative LSE RBP Credit Requirement

As noted, PJM is retaining its initial structure of first determining the overall credit requirement needed to address this risk at an aggregate level before then determining an individual LSE's RBP credit requirement. PJM will determine the cumulative LSE RBP credit requirement equal to "the RBP Credit Rate (as determined in accordance with Tariff,

[70] *See* proposed Tariff, Attachment DD, section 18.8(b)(i)(A). Ms. Kelly explains how PJM will determine the net present value of the total RBP payment obligation. *See* Kelly Aff. ¶ 24.

[71] Kelly Aff. ¶ 48.

[72] *See* September 29 Order, 196 FERC ¶ 61,245, at P 74 ("[W]e find that using the $555/MW-day price cap for the 2028/2029 BRA . . . is a reasonable proxy of load's maximum willingness to pay for RBP capacity.")

Attachment DD, section 18.8(b)(i)(B)) multiplied by the committed RBP UCAP MW amount."[73] That is, one uniform RBP Credit Rate will be applicable to *all* committed RBP UCAP MW, and the cumulative RBP credit requirement for LSEs shall be met through RBP Collateral posted by those LSEs with responsibility for RBP Charges pursuant to Tariff, Attachment DD, section 18.3.

However, PJM is proposing revisions to clarify that the committed RBP UCAP MW for such purpose will be the "total amount of RBP UCAP MW that receives a commitment through the Reliability Backstop Procurement and is supported by an RBP Resource that has reached commercial operation by the start of the applicable Delivery Year."[74] And, the committed RBP UCAP MW "shall exclude" any RBP UCAP MW that is rescinded pursuant to Tariff, Attachment DD, section 18.6(e).[75] In other words, no collateral would be required for RBP Resources not in service for that Delivery Year.

c. Clarifying revisions regarding PJM's return of excess collateral

While the accepted Tariff provides that PJM will reduce the RBP Credit Rate "when total posted RBP Collateral is greater than the total remaining RBP Charges obligations over time by the Office of the Interconnection to an amount sufficient to cover the total existing RBP Charges obligations,"[76] PJM proposes to not change the RBP Credit Rate in such instance. Rather, PJM proposes that "[w]hen total posted RBP Collateral is greater than the total remaining RBP payment of obligations, the Office of the Interconnection will

[73] Proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

[74] Proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

[75] Proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

[76] Tariff, Attachment DD, section 18.8(b)(i)(A).

make available excess collateral, upon request by an applicable Load Serving Entity."[77] That is, PJM will only be holding collateral sufficient to cover about 3.4 years of remaining RBP payment obligations (the sum of RBP Charges and RPM payments). Thus, as the RBP commitment period carries on, the new approach affords PJM flexibility to release excess collateral while maintaining sufficient collateral to mitigate against default risk.

d. Clarifying revisions for the determination of the RBP LSE credit requirement

PJM proposes to maintain its approach that the RBP credit requirement will follow cost allocation for RBP Resources. Thus, only those LSEs allocated cost responsibility will be assigned an RBP credit requirement and be required to post RBP Collateral, and the RPM credit requirement will be based on the level of RBP UCAP MW for which an LSE is allocated cost responsibility. In this manner, the RBP credit requirement is aligned with cost allocation.

PJM is proposing new Tariff language to clarify the determination of an LSE's RBP credit requirement, which will still equal the product of (1) the uniform RBP Credit Rate; and (2) the LSE's allocated RBP UCAP MW amount, i.e., its Allocated RBP Credit MW. First, reflective of PJM's movement from a stated RBP Credit Rate to one based on a percentage of the payment obligation, PJM is proposing to define RBP Credit Rate as "an amount per MW equal to 40% of the discounted total RBP payment obligation per MW over the applicable RBP commitment term, calculated using the weighted-average RBP clearing price of all RBP UCAP MW committed through the RBP."[78] Second, for clarity

[77] Proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

[78] Proposed Tariff, Attachment DD, section 18.8(b)(i)(B).

and ease of understanding and application, PJM is defining "Allocated RBP Credit MW" as "the amount of RBP UCAP MW, expressed in MW, for which the LSE has been allocated responsibility for RBP Charges in accordance with Tariff, Attachment DD, section 18.3 and as determined in accordance with this Tariff, Attachment DD, section 18.8(b)(i)(B)(1) or (2), as appropriate."[79]

Accepted sections 18.8(b)(i)(B)(1) and (2) detail how an LSE allocated cost responsibility determine the amount of collateral they need to post. While PJM is not proposing to change this structure, PJM is proposing some revisions to reflect the new RBP Credit Rate and clarify the determination of an LSE's Allocated RBP Credit MW. PJM is also taking the opportunity to make some wordsmithing revisions for ease of understanding.[80] Specifically, PJM is clarifying that, in the event the LSE's cost allocation is determined through an RBO, PJM will determine its Allocated RBP Credit MW "based on the relevant Load Serving Entity's percent share of the zone/area's RBP Obligation MW assigned by the Electric Distributor,"[81] instead of scaling the RBP Obligation MW "in the event the total the RBP Obligation MW values uploaded by the Electric Distributor do not sum to the fixed, Final RBP Target MW for the zone/area."[82]

2. PJM is proposing to lengthen the timeframe from when an LSE is assigned responsibility for RBP Charges to the time by which collateral must be posted from 15 days to 75 days.

PJM is proposing that LSEs be provided at least 75 days' notice of their collateral obligation prior to a given Delivery Year before the LSE must have the requisite RBP

[79] Proposed Tariff, Attachment DD, section 18.8(b)(i)(B).

[80] *See* proposed Tariff, Attachment DD, section 18.8(b)(i)(B)(1) and (2) (wordsmithing revisions).

[81] Proposed Tariff, Attachment DD, section 18.8(b)(i)(B)(1).

[82] Tariff, Attachment DD, section 18.8(b)(i)(B)(1).

Collateral posted. That is, PJM is not changing the rule that LSEs must post RBP Collateral at least 45 days before the start of a Delivery Year in which the LSE is allocated responsibility for RBP Charges.[83] Rather, as discussed above in Part II.A, PJM is proposing that Electric Distributors report their initial RBP Obligation values to PJM at least 120 days prior to the start of the 2028/2029 Delivery Year. PJM is not proposing to change the rule that if no RBP Obligation is reported for an Electric Distributor zone/area, then RBP Charges allocated to that zone/area will be assign to each LSE "using each LSE's ratio share of the Daily Unforced Capacity Obligation for the zone/area as determined in RAA, Schedule 8."[84]

Thus, each LSE will know no later than 120 days before the 2028/2029 Delivery Year whether it will be assigned RBP Charges and if so, how much. Correspondingly, by applying the uniform RBP Credit Rate to the MW underlying its assigned RBP Charges, each LSE will also be able to easily determine its RBP Collateral requirement 120 days before the start of the 2028/2029 Delivery Year. As such, LSEs will be afforded at least 75 days to post their RBP Collateral, providing LSEs greater flexibility to manage their collateral requirements.

3. PJM is proposing to broaden the forms of acceptable collateral to include surety bonds.

In response to the Commission's assertion that PJM's initial LSE credit rules errantly "limited . . . acceptable forms of collateral"[85] to Letters of Credit and cash, PJM

[83] *Compare* July 31 Filing, Attachment B at proposed Tariff, Attachment DD, sections 18.8(b)(i)(B)(1), (2), *with* proposed Tariff, Attachment DD, sections 18.8(b)(i)(B)(1), (2).

[84] Tariff, Attachment DD, section 18.3(b)(iii).

[85] September 29 Order, 196 FERC ¶ 61,245 at P 205.

re-assessed whether it could accept other forms of collateral, and determined that it also could accept surety bonds. Accordingly, PJM is proposing to revise the definition of RBP Collateral to include surety bonds,[86] providing LSEs additional flexibility to manage their collateral requirements. As Ms. Kelly testifies, all three of these acceptable forms of collateral "provide [PJM] reliable financial protection that PJM can access promptly when necessary, without conditions that could delay or impair its ability to obtain payment."[87]

From the start, PJM considered the unsecured credit available from existing Market Participants. But, as PJM explained in the initial RBP proceeding, there are two primary reasons that unsecured credit is not an appropriate form of collateral for RBP payment obligations. One, PJM's experience "has shown that, generally speaking, Market Participants used their full amount of unsecured credit to cover their Peak Market Activity credit obligations associated with those periods."[88] Two, the ability of the entity proffering the unsecured credit to "access to liquidity may . . . evaporate [during the up to 15-year term of the RBP contract], making it functionally unable to post additional collateral precisely when default risk rises."[89] In short, Market Participants already use all their unsecured credit available today so none is available to cover a 15-year payment obligation. And, even if some were available, it is not a form of collateral you can draw down on, and

[86] Proposed Tariff, Part 1, Definitions – R-S, RBP Collateral ("'RBP Collateral' shall mean any one of: (1) a cash deposit, including any interest thereon, (2) a surety bond with a provider, amount and form determined by and acceptable to PJM or PJMSettlement, or (3) a letter of credit issued for the benefit of PJM or PJMSettlement, with a provider, amount and form determined by and acceptable to PJM or PJMSettlement.").

[87] Kelly Aff. ¶ 57.

[88] *PJM Interconnection, L.L.C.*, Motion for Leave to Answer and Answer of PJM Interconnection, L.L.C., Docket No. ER26-3380-000, at 85 (Sep. 10, 2026) ("PJM RBP Answer").

[89] PJM RBP Answer at 85.

it is not convertible to cash. In addition, RBP's long-term payment obligation precludes PJM having the requisite confidence in the ability to draw on an unsecured credit to meaningfully cover the payment obligation. Therefore, allowing an LSE's credit requirement to be met through unsecured credit would inappropriately shift the default risk to PJM's Members.

4. Upon garnering sufficient experience, PJM will review the RBP Credit Rate and will present any recommendations to stakeholders.

Things change over time; PJM recognizes that. The quantitative and qualitative analysis that support the proposed RBP Credit Rate could change over time such that a review of the RBP Credit Rate may be warranted in order for the LSE credit requirement to continue to "strike a reasonable balance . . . against the risk of default and ensuring market participants have adequate flexibility to manage their collateral requirements."[90] Accordingly, PJM is proposing to memorialize in its Tariff a requirement for PJM to review the RBP Credit Rate "[f]ollowing the commencement of commercial operation of all Capacity Resources with RBP commitments."[91] This review will look at the inputs used to the determine the RBP Credit Rate, allowing PJM to identify whether and to what degree changes in the inputs over time may affect the RBP Credit Rate. In other words, PJM would evaluate the inputs discussed in Part II.B.1 above, including, for example, changes in the weighted-average credit rating of the portfolio of LSEs operating in PJM and the cost incurred by LSEs in providing collateral (e.g., the five-year historical trend in the 30-day average Secured Overnight Financing Rate). As Ms. Kelly explains, "[i]f PJM

[90] September 29 Order, 196 FERC ¶ 61,245 at P 205.

[91] Proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

identifies material changes that would affect the RBP Credit Rate, PJM will reassess the RBP Credit Rate."[92] To the extent PJM identifies the need for any changes, the proposed Tariff revisions require PJM to "present any recommendations to stakeholders through the Members Committee."[93]

PJM is proposing to conduct this review once all committed RBP Resources reach commercial operation,[94] which will be a point in time in which there will be certainty as to the entire set of RBP Resources as well as afford PJM and Market Participants a few Delivery Years' worth of experience under the proposed RBP Credit Rate before evaluating whether it needs to be revised. PJM would conduct such review no later than the 2035/2036 Delivery Year, given that all RBP Resources should achieve commercial operation by June 1, 2032, or face RBP Shortfall Charges and RBP commitments will be rescinded for RBP Resources that fail to achieve commercial operation within three Delivery Years of the first Delivery Year for which the RBP Resource is committed.

5. PJM is clarifying that Credit Requirements for RBP Charges shall not be included in existing PJM credit tools.

The proposed LSE credit requirement should require the provision of adequate credit to mitigate the risk of paying for the RBP commitments over their term. To be clear, the LSE credit requirement is designed to cover both parts of the forward payment obligation due to a committed RBP Resource—the RBP Charges (i.e., the contract for differences) and the Locational Reliability Charges (i.e., RPM capacity payments).[95]

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[92] Kelly Aff. ¶ 62.

[93] Proposed Tariff, Attachment DD, section 18.8(b)(i)(A).

[94] To the extent any RBP commitment is rescinded pursuant to Tariff, Attachment DD, section 18.6(e), PJM would ignore such RBP Resource in determining when to commence the review.

[95] *See* Kelly Aff. ¶ 59.

Therefore, to avoid double counting the RPM capacity payment obligation, PJM is proposing revisions to Tariff, Attachment DD, section 18.8 to remove language that could allow PJM to consider RBP Charges and RPM capacity payments owed such RBP Resource through its other credit tools in Tariff, Attachment Q, including the Peak Market Activity. In fact, PJM is proposing revisions to make explicit that such payment obligations "shall not be included in Peak Market Activity" and is deleting the language that "[n]othing in this Tariff, Attachment DD, section 18.8 supersedes the provisions of Tariff, Attachment Q."[96] These revisions resolve in the negative any doubt as to whether PJM's proposed RBP credit requirement is duplicative of any existing PJM credit rule.

C. Treatment of RBP Commitment in Event of Transmission Owner Exit During Term of the Commitment (Proposed Tariff, Attachment DD, Section 18.7)

The September 29 Order states that "the proposed Transmission Owner exit provisions [from PJM's July 31 Filing] may be inconsistent with the cost causation principle because they do not assign costs to the entities that cause the costs and benefit from the capacity procurement under the RBP, i.e. LSEs."[97] In response, PJM is proposing to modify Tariff, Attachment DD, section 18.7 to put LSEs on notice that, in the event of a withdrawal from PJM, LSEs will continue to be responsible for any remaining RBP Charges that are allocated to them during the term of the RBP commitment. To be clear, this provision is designed to address the limited scenario where an LSE assigned responsibility for RBP Charges is electrically separated from PJM as a result of another entity that physically withdraws from PJM. It does not apply to scenarios where a Large

[96] Tariff, Attachment DD, section 18.8.

[97] September 29 Order, 196 FERC ¶ 61,245 at P 179.

Load may switch LSEs during the term of the RBP commitment as those changes would ordinarily be reflected in the Daily Unforced Capacity Obligation or Reliability Backstop Obligation that is used to charge for the RBP obligations.

Specifically, PJM proposes to modify the exit provision in proposed Tariff, Attachment DD, section 18.7 as follows:

> In the event a Load Serving Entity that is allocated RBP Charges withdraws from PJM (whether or not caused by the physical withdrawal of another entity from the PJM Region), such Load Serving Entity shall be responsible for the remainder of the RBP Charges allocated to it, subject to a rate filing with the Federal Energy Regulatory Commission that details the specific terms and amounts owed. Nothing in this provision shall limit such Load Serving Entity's ability to seek redress from another entity to the extent the Load Serving Entity's withdrawal is caused by that other entity's physical withdrawal from the PJM Region.

To date, no LSEs have indicated an intention to withdraw from PJM. Nevertheless, the proposed Tariff provision is needed to: (1) put LSEs on notice of how RBP commitments will be honored; (2) recognize that a primary incentive for developers to participate in the RBP is the cost certainty afforded by a 15-year commitment; (3) aid in the financing of RBP Resources that can be developed and placed in service quickly; and (4) protect remaining customers in PJM from stranded costs arising from RBP Charges. As proposed, the Tariff language may be divided into the following three distinct subparts, which PJM will address, in turn, below:

1) broad notice to LSEs of their responsibility for allocated RBP Charges in the event of withdrawal;

2) recognition that, in the event of withdrawal, details about specific terms and amounts owed will be subject to subsequent filings with the Commission; and

3) express preservation of an LSE's ability to seek redress under certain circumstances.

1. LSEs are on notice that, in the event of withdrawal, LSEs will continue to be responsible for RBP Charges allocated to them.

The September 29 Order suggests that "a just and reasonable approach could require LSEs in an exiting Transmission Owner's zone to pay RBP exit fees commensurate with their cost allocation under the RBP, to prevent cost shifts to other LSEs in the PJM Region."[98] Accordingly, PJM proposes to require that LSEs, rather than exiting Transmission Owners, cover costs commensurate with the RBP Charges allocated to them. The modified Tariff language follows the guidance provided in the September 29 Order and finds support in Commission precedent, and is therefore just and reasonable.

First, the September 29 Order suggests that a more legally durable approach to guarding against stranded RBP costs in the event of a withdrawal from PJM would be to require RBP Charges to follow an exiting LSE, rather than the exiting Transmission Owner. As the Commission observed in the September 29 Order, in *Duquesne*, the LSE "understood that PJM was procuring capacity on its behalf," and "PJM's obligation to pay generators is fixed at the time of the auction."[99] It follows that, in *Duquesne*, LSEs located in an exiting Transmission Owner's zone continued to be obligated to pay for capacity procured through the RPM.[100]

According to the September 29 Order, RBP Charges are analogous to the cost of capacity procured through the RPM in *Duquesne*, because:

> Under its RBP proposal, PJM similarly proposes to procure capacity through the RBP on behalf of LSEs, establish obligations to pay RBP Resources at the time of the procurement, and later allocate

[98] September 29 Order, 196 FERC ¶ 61,245 at P 181.

[99] September 29 Order, 196 FERC ¶ 61,245 at P 178 (quoting *Duquesne Light Co.*, 122 FERC ¶ 61,039, at P 89 (2008)).

[100] September 29 Order, 196 FERC ¶ 61,245 at P 178.

> those costs to LSEs. PJM fails to explain why Transmission Owners—who are not the buyers for which PJM procures capacity under the RBP—should be responsible for RBP Charges.[101]

Because LSEs, not exiting Transmission Owners, are the buyers for which PJM procures capacity under the RBP, LSEs are the beneficiaries of the RBP Resources procured by PJM. Thus, as the September 29 Order suggests, even where an exiting Transmission Owner ultimately causes an LSE to withdraw involuntarily from PJM, LSEs nevertheless remain the underlying cause for the RBP Resources and associated RBP Charges established at the time of procurement. Thus, as the Commission suggests, it is reasonable to continue requiring LSEs to cover RBP Charges allocated to them, even after they have withdrawn from PJM. Thus, PJM is revising its proposed Tariff, Attachment DD, section 18.7 to require that LSEs, rather than exiting Transmission Owners, continue to cover the costs of RBP Charges allocated to them.

Second, PJM's proposed Tariff language is drafted broadly to put exiting LSEs on notice of ongoing cost responsibility for RBP Charges allocated to them, without regard to whether those LSEs have exited PJM involuntarily based on their location in an exiting Transmission Owner's zone. In PJM, an LSE is defined by its role as an entity serving end-use customers within the PJM Region with the authority or obligation to sell electric energy to such end-users.[102] LSEs without physical assets would generally withdraw from PJM when the end-users they serve are located in an exiting Transmission Owner's zone. Thus, the September 29 Order suggests that a just and reasonable approach could require

[101] September 29 Order, 196 FERC ¶ 61,245 at P 178.

[102] RAA, Article 1, Definitions; Tariff, Part 1, Definitions – L-M-N.

"LSEs in an exiting Transmission Owner's zone" to continue paying RBP Charges allocated to them.[103]

PJM's proposed Tariff provision recognizes that, in light of the numerous different configurations found in PJM, it is possible that LSEs may withdraw from PJM for reasons other than a Transmission Owner's physical withdrawal from the PJM Region. Thus, PJM's proposed Tariff provision puts LSEs on notice that they will be responsible for the remainder of RBP Charges allocated to them whether or not their exit was caused by the physical withdrawal of another entity from the PJM Region. Likewise, the revised Tariff provision puts LSEs on notice that their ongoing cost responsibility for RBP Charges will continue to follow them even if an LSE's withdrawal is the result of the physical withdrawal of entities other than an exiting Transmission Owner. Thus, the proposed Tariff provision is drafted broadly to provide assurances against stranded RBP Charges and cost shifts.

2. The modified proposal expressly recognizes that the specific terms and amounts owed in RBP Charges are subject to future filings with the Commission.

In response to PJM's July 31 Filing, a number of protestors raised concerns that PJM's previously proposed exit provisions were unnecessarily constraining. The Commission, "disagree[d] with protesters that establishing exit provisions in the Tariff would unnecessarily constrain the parties involved in effectuating a Transmission Owner's withdrawal from PJM. As PJM states, the cost obligations will be 'appropriately decided at the time of Transmission Owner's exit and subject to Commission approval.'"[104] As the

[103] September 29 Order, 196 FERC ¶ 61,245 at PP 181-82.

[104] September 29 Order, 196 FERC ¶ 61,245 at P 180 (quoting PJM RBP Answer at 98).

Commission has previously recognized, "there are a number of steps involved in proceeding with an orderly withdrawal from [a Regional Transmission Organization ("RTO")]" through "an orderly, phased-in sequence."[105]

PJM is proposing to modify its Tariff provision to expressly state that RBP Charges associated with a withdrawing LSE will be "subject to a rate filing with the Federal Energy Regulatory Commission that details the specific terms and amounts owed."[106] The modified proposal clarifies an important point and adheres to the September 29 Order and Commission precedent and is therefore just and reasonable.

First, like other exit provisions that the Commission has previously found to be just and reasonable, PJM's proposal does *not* establish specific cost obligations arising from specific circumstances surrounding a particular LSE's withdrawal or prejudge any potential settlement agreements pertaining to cost responsibility.[107] Under the proposed Tariff language, LSEs will only be responsible for the remainder of RBP Charges allocated to it. Depending on the specific circumstance of an LSE's withdrawal, RBP Obligation MW and associated RBP Charges may be subsequently allocated to other LSEs that have not withdrawn from the PJM Region, in accordance with Tariff, Attachment DD, section 18.3(b).

Second, in accordance with the September 29 Order, PJM is proposing a Tariff provision that "still leave[s] flexibility for LSEs"[108] that have been allocated responsibility

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[105] *Duke Energy Ohio, Inc.*, 133 FERC ¶ 61,058, at P 133 (2010) (quoting *Am. Transmission Sys., Inc. v. PJM Interconnection, L.L.C.*, 129 FERC ¶ 61,249, at P 29 (2009)).

[106] Proposed Tariff, Attachment DD, section 18.7.

[107] *See, e.g.*, *Midwest Indep. Transmission Sys. Operator, Inc.*, 133 FERC ¶ 61,221, at P 471 (2010), *order on reh'g*, 137 FERC ¶ 61,074 (2011).

[108] September 29 Order, 196 FERC ¶ 61,245 at P 181.

for RBP Charges. PJM agrees with the Commission that LSEs withdrawing from PJM should retain the flexibility to enter into appropriate business arrangements to cover its allocated RBP Charges. As the September 29 Order suggests, exiting LSEs may still have the flexibility "to enter into agreements with RBP Resources (which they may need to serve their load) or pay to pseudo-tie RBP Resources located within the exiting Transmission Owner's zone back into PJM."[109]

3. The modified proposal expressly preserves an LSE's ability to seek redress under certain circumstances.

While the modified proposal requires exiting LSEs—rather than exiting Transmission Owners—to continue covering their allocated RBP Charges, PJM nevertheless recognizes that LSEs retain the flexibility to seek redress when another entity's physical withdrawal from the PJM Region, such as a Transmission Owner's, causes an LSE to also be withdrawn from PJM. Therefore, PJM's modified Tariff provision expressly states that "[n]othing in this provision shall limit such Load Serving Entity's ability to seek redress from another entity to the extent the Load Serving Entity's withdrawal is caused by that other entity's physical withdrawal from the PJM Region."[110] The proposed language is just and reasonable and supported by Commission precedent.

First, as noted above, the proposed exit provision is drafted broadly to include, but not be limited to, instances where a Transmission Owner's physical withdrawal from the PJM Region causes LSEs to involuntarily withdraw from PJM. The Commission has expressly recognized that LSEs "may be required to associate with the same RTO as the

[109] September 29 Order, 196 FERC ¶ 61,245 at P 181.

[110] Proposed Tariff, Attachment DD, section 18.7.

transmission owner" and thus could require the "involuntary withdrawal by other LSEs in the [withdrawing transmission owner's] zone."[111]

When Transmission Owners have exited an RTO/Independent System Operator ("ISO"), LSEs that must involuntarily withdraw in order to associate with the same RTO/ISO as the exiting Transmission Owners have invariably challenged costs associated with the Transmission Owners' withdrawal from the RTO/ISO.[112] The Commission has previously found an exiting transmission owner's proposal to recover costs from its customers to be unjust and unreasonable where the transmission owner has "not sufficiently shown that wholesale transmission customers would realize net benefits from the RTO realignment."[113] The proposed Tariff provision recognizes that LSEs retain the right to file for cost recovery or intervene, challenge, and protest cost assignments following their involuntary withdrawal, including, but not limited to, by challenging the subsequent rate filings before the Commission.

Second, the proposed Tariff provision recognizes that the Commission has previously upheld Tariff provisions that shift cost responsibility from transmission customers to their exiting transmission owners. In *FirstEnergy Service Co. v. Midwest Independent Transmission System Operator, Inc.*, for example, the Commission upheld Schedule 39 of the Midwest Independent Transmission System Operator, Inc. ("MISO") Tariff, which held Transmission Owners exiting from MISO responsible for the costs of

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[111] *Duquesne Light Co.*, 122 FERC ¶ 61,039 at P 130.

[112] *See, e.g.*, *PJM Interconnection, L.L.C.*, 151 FERC ¶ 61,029 (2015) (approving settlement between exiting transmission owner and wholesale transmission customers excluding 100% of certain exit and integration costs following Commission's denial, without prejudice, of transmission owner's request to recover such costs).

[113] *PJM Interconnection, L.L.C.*, 144 FERC ¶ 61,217, at P 22 (2013).

Multi-Value Project Charges, even though such charges are typically borne transmission customers. Therein, the Commission "disagree[d] with parties' assertions that Schedule 39 improperly shifts responsibility from the transmission customers to the Withdrawing Transmission Owner."[114] As the Commission explained:

> The transmission owner, not its transmission customers, makes the decision to withdraw from MISO and, therefore, Attachment FF [of the MISO Tariff] neither contemplates nor prescribes any financial obligations for transmission customers in the Withdrawing Transmission Owner's zone. Moreover, we disagree that MVP charges cannot be part of a transmission owner's exit fee obligation because, prior to a transmission owner's withdrawal, MVP charges are assessed to transmission customers. Attachment FF states . . . that transmission owners, upon withdrawal, become responsible for costs contemplated in Attachment FF.[115]

Subsequently, the Commission expressly distinguished *FirstEnergy* from *Duquesne*, reasoning:

> Although the Commission agreed that the allocation and usage-based rate design of MISO's MVPs are similar to the allocation and usage-based rate design of PJM's 500 kV facilities at issue in *Duquesne*, which the Commission rejected as part of a PJM exit fee, the Commission found that MISO's Tariff language is different than PJM's. The Commission stated that Section III.A.2.j of Attachment FF of MISO's Tariff explicitly obligates transmission owners withdrawing from MISO to pay costs incurred under Attachment FF, including MVP costs, whereas, in *Duquesne*, the Commission found that Schedule 12 of the PJM tariff lacked any language to obligate transmission owners that withdraw from PJM to continue to pay for transmission facility additions rated 500 kV and above. Because Attachment FF specified that transmission owners withdrawing from MISO are obligated to honor financial obligations associated with transmission facility additions incurred

[114] *FirstEnergy Serv. Co. v. Midwest Indep. Transmission Sys. Operator, Inc.*, 138 FERC ¶ 61,140, at P 65 (2012), *order on initial decision & reh'g*, 153 FERC ¶ 61,101 (2015).

[115] *FirstEnergy*, 138 FERC ¶ 61,140 at P 65.

> under Attachment FF prior to withdrawal, the Commission found that the *Duquesne* precedent was distinguishable.[116]

While PJM's revised Tariff provision recognizes that a more legally durable solution follows Commission precedent in *Duquesne*, PJM nevertheless proposes that its Tariff expressly reserves the right of an LSE to seek redress from other entities whose decision to withdraw from PJM results in the withdrawal of the LSE.

In recognition of the fact that, depending on the specific circumstances of the withdrawal, LSEs may argue that costs typically borne by LSEs should become the responsibility of the entity that initiated the physical withdrawal from the PJM Region, PJM is proposing revised Tariff language that expressly contemplates that LSEs may seek redress from the other such entity whose physical withdrawal from the PJM Region caused the LSEs' withdrawal from PJM. While the provision is drafted broadly, PJM contemplates that the forms of redress that an LSE may seek may include recouperation of costs resulting directly from a Transmission Owner's business decision to exit PJM.

III. PROPOSED ADDITIONAL UPDATES TO THE ACCEPTED RBP RULES

Beyond the proposed updates discussed above, PJM proposes additional limited amendments to the Tariff that serves to further refine, clarify, and/or update the set of RBP rules as detailed below.

A. PJM Proposes to Amend the Opt-Out for LSEs that Are Not Regulated by States.

In the July 31 Filing, PJM proposed a limited RBP opt-out applicable to certain Electric Distributors whose zone/area rates are not subject to state regulation. The purpose of that provision was to address a narrow regulatory circumstance facing certain

[116] *FirstEnergy*, 153 FERC ¶ 61,101 at P 142.

cooperative and municipal utility systems whose rates are not regulated by a state authority. However, in the September 29 Order, the Commission found that the proposed opt-out for qualifying cooperatives and municipal utilities may be unjust, unreasonable, and unduly discriminatory because those entities may serve Large Loads that are similarly situated to Large Loads served by other LSEs that would remain responsible for RBP Charges.[117]

To address this concern, PJM proposes to revise Tariff, Attachment DD, section 18.1(d) to eliminate the provision that permits an Electric Distributor that is not regulated by a RERRA to specify a quantity of load that will be opted out of the Initial RBP Target. As revised, the RBP framework will no longer provide an opt-out based on the regulatory status of an Electric Distributor's zone/area.

This revision ensures that responsibility for RBP Charges is applied on a comparable basis across all LSEs that serve Large Loads. Accordingly, LSEs serving Large Loads will remain responsible for RBP Charges regardless of whether the relevant Electric Distributor's zone/area is regulated by a state. By removing the previously proposed opt-out, the potential for disparate treatment among similarly situated Large Loads is eliminated and directly addresses the concern identified by the Commission in the September 29 Order.

B. PJM Proposes Updates to Modify the Opt-Out for a Peak Shaving Adjustment Program to Align with the RBP Offset.

While PJM is maintaining the remaining opt-out for Electric Distributors that address resource adequacy needs through Peak Shaving Adjustment programs established pursuant to state law, PJM proposes a targeted modification to better align that opt-out with

[117] September 29 Order, 196 FERC ¶ 61,245 at P 152.

the requirements applicable to Qualifying RBP Offset UCAP MW. Specifically, PJM proposes to require that any MW quantity used to reduce the Initial RBP Target through the Peak Shaving Adjustment opt-out be committed to participate in the applicable Peak Shaving Adjustment program for a minimum term of five years.[118] This requirement is consistent with the existing requirement that Qualifying RBP Offset UCAP MW be supported by a signed bilateral contract with a minimum term of five years in order to offset the Initial RBP Target.[119]

This proposed revision recognizes that Peak Shaving Adjustment MW and Qualifying RBP Offset UCAP MW serve a similar function within the RBP framework. In each case, the MW quantity is used to reduce the Initial RBP Target and, therefore, reduce the quantity of Capacity Resources that otherwise would be procured through the RBP construct. Although Peak Shaving Adjustment MW reflects a demand-side reduction rather than the addition of a supply-side resource with an accredited UCAP value, both mechanisms reduce the amount of incremental capacity procurement that would otherwise be necessary to address Large Load growth.

Because both mechanisms produce a comparable effect on the Initial RBP Target, they should be subject to comparable durability requirements. The proposed five-year minimum participation requirement helps ensure that Peak Shaving Adjustment MW used to reduce the Initial RBP Target represents a meaningful and sustained contribution to resource adequacy rather than a temporary or transitory reduction in load. Absent such a requirement, load could reduce the Initial RBP Target based on short-term participation in

[118] *See* proposed Tariff, Attachment DD, section 18.1(d).

[119] *See* Tariff, Attachment DD, section 18.2(c)(i).

a Peak Shaving Adjustment program without providing a commensurate long-term contribution to meeting the resource adequacy needs that gave rise to the RBP procurement.

Accordingly, the proposed five-year minimum term promotes consistency across the RBP framework by treating demand-side and supply-side offset mechanisms in a comparable manner. At the same time, the requirement remains sufficiently flexible to accommodate commercially reasonable arrangements while ensuring that any MW used to reduce the Initial RBP Target reflects a sustained commitment that supports resource adequacy objectives.

C. PJM Proposes to Update the Rules Related to the Cure Period for Any Identified Deficiencies Associated with an RBP Sell Offer.

Under the RBP rules accepted by the Commission in the September 29 Order, each RBP Sell Offer must include the information and evidence necessary to demonstrate that the proposed project qualifies as an RBP Resource. Specifically, an RBP Sell Offer must be accompanied by the applicable documentation and support required for the relevant resource type under Tariff, Attachment DD, section 18.5(f)(i). Upon receipt of an RBP Sell Offer, PJM reviews the submission on a pass/fail basis to determine whether the offer includes the required information and supporting evidence. If PJM identifies missing documentation or other deficiencies, PJM will notify the RBP Seller and provide an opportunity to cure the identified deficiencies before the offer is rejected.[120] In the event PJM identifies missing documentation or other evidence in an RBP Sell Offer, an RBP

[120] Tariff, Attachment DD, section 18.5(f)(i).

Seller has five calendar days, or until the close of the RBP offer submission window, whichever occurs first, to cure any deficiencies identified by PJM.[121]

Upon further review, PJM has determined that this provision may not provide all RBP Sellers a meaningful and consistent opportunity to cure deficiencies. In particular, should a significant number of RBP Sell Offers be submitted towards the end of the RBP offer submission window, PJM may not be able to complete its review of every offer and issue any necessary deficiency notices prior to the expiration of the submission window. As a result, the amount of time available to cure a deficiency could vary based solely on the timing of PJM's review rather than the nature of the deficiency or the merits of the underlying project.

To address this concern, PJM proposes a narrow modification to the cure process. Under the proposed revision, an RBP Seller will have five calendar days from receipt of a deficiency notice to cure any deficiencies identified by PJM, even if the cure period extends beyond the close of the RBP offer submission window. This change does not alter the substantive requirements applicable to RBP Sell Offers, nor does it modify PJM's evaluation criteria. Rather, it allows all RBP Sellers to receive the same cure opportunity once PJM has identified a deficiency. In addition, this revision enhances the fairness and administrability of the RBP qualification process by ensuring that an RBP Seller is not denied a cure opportunity solely because PJM's review occurs near the end of the submission window. The proposed revision also improves the likelihood that potentially

[121] Tariff, Attachment DD, section 18.5(f)(i).

qualifying RBP Resources will be evaluated on their merits rather than excluded due to timing constraints associated with the review process.

Importantly, PJM does not expect this change to encourage late submissions. RBP Sell Offers will continue to be reviewed on a rolling basis throughout the submission window, and PJM anticipates that sellers submitting offers earlier in the process may have greater opportunities to respond to informal requests for clarification or supplemental information before PJM issues a formal deficiency notice. By contrast, sellers submitting offers closer to the close of the submission window may have fewer opportunities for informal engagement prior to the commencement of the formal cure process. Accordingly, RBP Sellers will continue to have a strong incentive to submit complete RBP Sell Offers as early as practicable during the submission window.

To effectuate this update, PJM proposes to modify Tariff, Attachment DD, section 18.5(f)(i), as shown in blackline below:

> RBP Sell Offers that do not include the following information shall not proceed to selection assessment, provided, however, that the Office of the Interconnection shall provide the RBP Seller the opportunity to cure any identified deficiencies within five (5) calendar days <u>of being notified by PJM</u>. ~~Notwithstanding, such opportunity to cure shall not extend past the close of the bid submission window of the Reliability Backstop Procurement.~~

D. PJM Proposes Clarifications Related to Qualifying RBP Offset UCAP MW.

In the July 31 Filing, PJM explained that it is just and reasonable to reduce the Initial RBP Target to reflect qualifying new capacity procured outside of the RBP construct ("Qualifying RBP Offset UCAP MW"). Qualifying RBP Offset UCAP MW recognizes bilateral arrangements that help address the resource adequacy need associated with Large Load growth while furthering PJM's preference for encouraging voluntary procurement of

new capacity through bilateral contracting rather than through mandatory RBP procurement. As the Commission previously accepted, the universe of resources eligible to qualify as Qualifying RBP Offset UCAP MW includes new generation, Energy Storage Resources, Planned Demand Resources, and Planned DER Capacity Aggregation Resources.[122]

It remains just and reasonable to permit Electric Distributors to report Qualifying RBP Offset UCAP MW for purposes of decrementing the Initial RBP Target. Through this filing, PJM clarifies that any such resource must be physically located within the PJM Region.[123] Additionally, given that the RBP is now anticipated to commence on March 1, 2027, PJM is clarifying that capacity that may be committed in the Third Incremental Auction associated with the 2027/2028 Delivery Year will remain eligible as Qualifying RBP Offset UCAP MW (as well as to maintain eligibility as an RBP Resource).[124] This is appropriate given that the deadline to submit the binding notice of intent to offer into the Third Incremental Auction associated with the 2027/2028 Delivery Year will be before an order on this filing is expected.[125] This will avoid a scenario where a Planned Generation Capacity Resource may not be offered into the 2027/2028 Third Incremental Auction to preserve eligibility to be either offered as an RBP Resource or used as a Qualifying RBP Offset UCAP MW.

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[122] Tariff, Attachment DD, section 18.2(b).

[123] Proposed Tariff, Attachment DD, section 18.2(a).

[124] Proposed Tariff, Attachment DD, section 18.2(a); proposed Tariff, Attachment DD, section 18.5(a)(ii); proposed Tariff, Part 1, Definitions – O-P-Q, Qualifying RBP Offset UCAP MW.

[125] Specifically, the current deadline for the notice of intent to offer into the Third Incremental Auction for the 20287/2028 Delivery Year is November 26, 2026.

In addition, PJM is updating the language in Tariff, Attachment DD, section 18.2(e) to conform with the revised approach of requiring Electric Distributors to report the MW quantity of Large Load. Specifically, PJM proposes to amend this section to state that the total quantity of Qualifying RBP Offset UCAP MW that can be used to decrement the Initial RBP Target "will be capped by the aggregate MW quantity of Large Load reported by each Electric Distributor, as reported in accordance with Tariff, Attachment DD, section 18.3(a)(2), and the total MW quantity that is subject to the RBP opt-out, as requested in accordance with Tariff, Attachment DD, section 18.1(d), for the relevant zone/area."[126] Consistent with this clarification, PJM is also specifying that the Qualifying RBP Offset UCAP MW must be the subject of a bilateral agreement with a Large Load and up to the capacity obligation of such Large Load.[127] This way, the Qualifying RBP Offset UCAP MW will not be higher than the quantity of Large Load that the RBP is designed to procure for the 2028/2029 Delivery Year.

Further, PJM is clarifying through this filing that Planned Demand Resource or Planned DER Capacity Aggregation Resource used as Qualifying RBP Offset UCAP MW must satisfy certain eligibility requirements that also apply to those resource types when qualifying as RBP Resources. Specifically, such resources must "[n]ot be reliant on or composed of registered location(s) that previously supported a Demand Resource that provided capacity in the 2026/2027 Delivery Year unless such location represents an incremental increase in capacity resulting from an investment in new generation or new

[126] Proposed Tariff, Attachment DD, section 18.2(e).

[127] Proposed Tariff, Attachment DD, section 18.2(c).

storage resources at that location."[128] In addition, such resources must be supported by a signed commitment between the Curtailment Service Provider or DER Aggregator identifying the end-use customers that will support such commitment in an amount equal to the MW quantity relied upon as the offset.[129]

These requirements provide reasonable assurances that Planned Demand Resources and Planned DER Capacity Aggregation Resources used to reduce the Initial RBP Target represent genuinely incremental capacity additions rather than the repackaging of existing demand-side capability that has already contributed to PJM's resource adequacy requirements. Because the purpose of the Qualifying RBP Offset UCAP MW mechanism is to recognize new capacity that mitigates the reliability needs otherwise addressed through the RBP construct, it is appropriate to require evidence demonstrating that the specific end-use customer locations represent new capability and is directly associated with the new loads responsible for the incremental resource adequacy need. At the same time, these requirements do not need to be so restrictive that any previously registered end-use location prior to the 2026/2027 Delivery Year would be foreclosed from being eligible to be registered in support of a Demand Resource that is either offered as an RBP Resource or reported as Qualifying RBP Offset UCAP MW. Such locations are not currently supporting Capacity Resources, and therefore any capacity capability they can provide should be deemed new capacity on the system.

PJM also proposes to clarify that Planned Demand Resources and Planned DER Capacity Aggregation Resources used as Qualifying RBP Offset UCAP MW must identify

[128] *See* proposed Tariff, Attachment DD, section 18.5(c)(i).

[129] Tariff, Attachment DD, section 18.2(c)(iii).

the specific locations that will support the offset. This requirement is necessary to verify that the claimed MW quantity is associated with identifiable new load and represents incremental capacity that did not previously contribute to PJM's resource adequacy needs. The Commission expressly recognized concerns that Demand Resources and DER Aggregation Resources may face challenges in identifying customer locations sufficiently far in advance in the context of qualifying as an RBP Resource, but nonetheless found it reasonable to require identification of the specific locations supporting such resources.[130] Requiring location-specific information in the offset context is likewise appropriate and is consistent with the comparable identification requirements applicable to generation resources proposed as Qualifying RBP Offset UCAP MW.[131]

At the same time, while Planned Demand Resources and Planned DER Capacity Aggregation Resources used as Qualifying RBP Offset UCAP MW must satisfy the eligibility requirements necessary to demonstrate that the resources are new, incremental, and directly tied to the underlying Large Load, PJM does not require those resources to provide all of the documentation necessary to qualify as an RBP Resource. Specifically, the submission of the specific end-use customer contracts that would otherwise be required for participation as an RBP Resource would not be required. This tailored approach appropriately balances the need to ensure that offset MW represent genuine new capacity against the recognition that Qualifying RBP Offset UCAP MW are not themselves seeking RBP commitments or compensation. As a result, the proposal provides sufficient

[130] September 29 Order, 196 FERC ¶ 61,245 at P 50.

[131] Tariff, Attachment DD, section 18.2(c).

assurance that any MW used to reduce the Final RBP Target reflects real and incremental capacity additions while avoiding unnecessarily burdensome qualification requirements.

Finally, PJM is proposing to correct a typographical error in proposed Tariff, Attachment DD, section 18.5(d). Specifically, the Tariff provision states:

> To qualify as a DER Capacity Aggregation Resource that supplies RBP UCAP MW eligible to be offered into the Reliability Backstop Procurement, a Planned DER Capacity Aggregation Resource must meet the requirements of Tariff, Attachment DD, sections 18.5(b) . . . .[132]

Section 18.5(b) establishes the requirements applicable to "Generation or Energy Storage Resources as an RBP Resources" and was not intended to apply to DER Capacity Aggregation Resources. Rather, PJM intended to reference section 18.5(a), which sets forth the general eligibility requirements applicable to all resources supporting RBP UCAP MW and is titled "RBP Seller Eligibility to Participate and General Requirements for Resources Supporting RBP UCAP MW." Accordingly, this filing corrects Tariff, Attachment DD, section 18.5(d) by replacing the reference to "section 18.5(b)" with "section 18.5(a)."[133]

E. PJM Proposes to Update Site Control Requirements.

In the July 31 Filing, PJM proposed an RBP gating criteria designed to limit participation to resources with a high likelihood of achieving commercial operation to deter speculative offers. As relevant here, generation and storage resources seeking to participate in the RBP must demonstrate, among other things, evidence of 100% Site Control "for a term of at least three years from the date of submission of the

[132] Tariff, Attachment DD, section 18.5(d).

[133] Proposed Tariff, Attachment DD, section 18.5(d).

Application."[134] In Docket No. ER26-3380-000, PJM responded to comments submitted by CPV Power Holdings, LP ("CPV") and acknowledged certain concerns regarding the proposed Site Control requirements.[135] In the September 29 Order, the Commission recognized "PJM's openness to adopt CPV's suggested redlines to proposed Tariff, Attachment DD, section 18.5(f)(i)(2)" and stated that PJM could incorporate revisions to that provision through this filing.[136]

In particular, PJM recognizes that the reference to "Application" in Tariff, Attachment DD, section 18.5(f)(i)(2) may create ambiguity in the context of the RBP. That is, the term "Application" is generally associated with the submission of a project into PJM's interconnection queue and does not clearly identify the relevant point in time for purposes of the RBP Site Control requirement. Accordingly, PJM proposes to clarify that the three-year Site Control requirement is measured from the date of submission of the RBP Sell Offer.

PJM also proposes to revise the Site Control requirement to avoid imposing duplicative obligations on projects that are already being studied, or have already completed the relevant studies, as part of PJM's interconnection process. Such projects are already required to satisfy the applicable Site Control requirements as a condition of progressing through the interconnection queue. Requiring those projects to separately demonstrate an additional three-year minimum term of Site Control for RBP participation

[134] Tariff, Attachment DD, section 18.5(f)(i)(2).

[135] *See* PJM RBP Answer at 10, 44-46; *PJM Interconnection, L.L.C.*, Motion to Intervene and Comments of CPV Power Holdings, LP, Docket No. ER26-3380-000, at 4-5 (Aug. 21, 2026).

[136] September 29 Order, 196 FERC ¶ 61,245 at P 78.

could unnecessarily exclude otherwise viable resources that have a high likelihood of reaching commercial operation.

Therefore, PJM proposes to revise Tariff, Attachment DD, section 18.5(f)(i)(2) so that only projects that are not currently undergoing, and have not previously completed, an interconnection study in PJM's interconnection process must provide evidence of 100% Site Control, consistent with the requirements set forth in Tariff, Part VIII, Subpart A, section 402, for a term of at least three years from the submission of the RBP Sell Offer. For the same reason, only those projects would be required to provide an officer certification demonstrating compliance with the applicable Site Control requirements. Based on the foregoing, PJM proposes to amend Tariff, Attachment DD, section 18.5(f)(i)(2), as shown in blackline below:

> (2) For projects that are not the subject of a completed interconnection study or are not currently under study as part of an active New Service Request by the Office of the Interconnection, ~~E~~evidence of 100% Site Control consistent with Tariff, Part VIII, Subpart A, section 402 for each of the Generating Facility (including the location of the main step-up transformer), the Interconnection Facilities, and the Interconnection Switchyard (as defined in the PJM Manuals) for a term of at least three years from the date of submission of the ~~Application~~RBP Sell Offer.
>
> ~~In addition,~~Such projects must also be accompanied by a certification, executed by an officer or authorized representative of the Generation Project Developer, verifying that the Site Control requirements have been met. Further, at Transmission Provider's request, Generation Project Developer shall provide copies of landowner attestations or county recordings. The Site Control requirements include an acreage requirement for the Project, as set forth in the PJM Manuals.
>
> ~~Evidence of site control shall be consistent with Tariff, Part VIII, Subpart A, section 402;~~

F. PJM Proposes to Utilize the Most Updated Resource Forecast and Resource Mix.

Given that the September 29 Order suspended the RBP rules for five months to become effective February 28, 2027, PJM now anticipates commencing the RBP on March 1, 2027. As part of the September 29 Order, the Commission indicated that "PJM should employ the most up-to-date load and resource forecasts to inform the Initial RBP Target" when PJM conducts the RBP.[137]

Consistent with the Commission's guidance, PJM proposes to update the Initial RBP Target using the most current data available at the time of the RBP. As initially proposed, the Initial RBP Target will continue to be determined as the difference between the PJM Region Reliability Requirement for the 2028/2029 Delivery Year and the total quantity of Capacity Resources that cleared the 2028/2029 Base Residual Auction. However, rather than relying on the forecasts and accreditation values available at the time of the July 31 Filing, PJM will utilize the most recent load forecast and capacity accreditation information available immediately prior to the commencement of the RBP.

Specifically, PJM will use the latest PJM Region Reliability Requirement for the 2028/2029 Delivery Year, which will reflect the latest load forecast for the 2028/2029 Delivery Year that is scheduled to be finalized and published on or before February 1, 2027.[138] Likewise, PJM will also recalculate the UCAP equivalent of the ICAP quantity of Capacity Resources that cleared in the 2028/2029 Base Residual Auction using the

[137] September 29 Order, 196 FERC ¶ 61,245 at P 159.

[138] *See* Tariff, Attachment DD, section 5.10(d).

capacity accreditation factors for the 2028/2029 Delivery Year that are scheduled to be finalized in February 2027.

These updates will produce an Initial RBP Target that reflects the most current load and resource assumptions available when the RBP is conducted and, therefore, more accurately measures the UCAP MW capacity shortfall for the 2028/2029 Delivery Year that the RBP is intended to address.

Further, as a preventative measure so that a zone/area is not allocated costs beyond its respective Large Load demand, PJM is proposing to update the Initial RBP Target to equal the lesser of the calculated value of the 2028/2029 Delivery Year shortage and the region-wide total of Large Load MW reported to PJM by Electric Distributors. This approach prevents zone/areas from being assessed a greater share of the capacity shortfall than its expected Large Load growth. As PJM's senior manager of market design, Ms. Croop explains, this approach "provides an important safeguard by accounting for the possibility that previously reported Large Load agreements may be canceled between the collection of data for the 2027 Load Forecast and the establishment of the RBP."[139] In other words, capping the Initial RBP Target at the Large Load MW quantity that is reported by Electric Distributors will ensure that RBP costs do not exceed the Large Load growth reported for the applicable zone/area to align with the principles of cost causation and beneficiary pays.[140]

[139] Croop Aff. ¶ 6.

[140] *Id*.

To effectuate this update, PJM proposes discrete updates to Tariff, Attachment DD, section 18.1(a), as shown below:

> The Initial RBP Target shall be a region-wide value equal to the lesser of the (1) most up to date UCAP MW quantity that PJM cleared short of the PJM Region Reliability Requirement for the 2028/2029 Delivery Year Base Residual Auction or (2) the UCAP equivalent of the aggregate region-wide Large Load MW quantity reported by the Electric Distributor in accordance with Tariff, Attachment DD, section 18.3A. Specifically, the Initial RBP Target shall equal the lesser of ([the latest estimate of the PJM Region Reliability Requirement for the 2028/2029 Delivery Year, calculated as the RTO Region Peak Load Forecast for the 2028/2029 Delivery Year from the 2027 Load Forecast times the 2028/2029 Forecast Pool Requirement from the updated planning parameters available at the commencement of the RBP, less the sum of all updated Unforced Capacity Obligations of FRR Entities in the PJM Region] minus [the UCAP-equivalent of the ICAP quantity of Capacity Resources that cleared in the 2028/2029 Base Residual Auction using the latest capacity accreditation factors for the 2028/2029 Delivery Year available at the commencement of the RBP], the aggregate region-wide Large Load MW reported by the Electric Distributor in accordance with Tariff, Attachment DD, section 18.3A times the most recent 2028/2029 Forecast Pool Requirement).

Although PJM considered using the 2029/2030 Delivery Year to establish the Initial RBP Target, PJM determined that doing so could drive additional market uncertainty. Utilizing the shortfall from the 2028/2029 Base Residual Auction is consistent with the underlying intent of the RBP to address the nearer-term reliability need while allowing market fundamentals to address the longer-term resource adequacy.[141] Indeed, PJM has already initiated its Powering Reliability Through Market Design initiative with stakeholders to pursue longer-term market design reforms aimed at improving investment and retention signals to support resource adequacy.

[141] Croop Aff. ¶ 7.

More fundamentally, the RBP was developed to address the capacity shortfall identified for the 2028/2029 Delivery Year. The RBP's procurement target, eligibility requirements, timelines, and other design elements were all established with that shortfall in mind. If PJM were to instead base the Initial RBP Target on the results of the 2029/2030 Base Residual Auction, PJM would need to reevaluate and potentially modify numerous aspects of the RBP construct to align with a different procurement need many of which market participants have already prepared for or made decisions around. Moreover, maintaining the existing design promotes certainty, preserves stakeholder expectations, and avoids unnecessary disruption to the market.[142] Accordingly, PJM proposes to retain the 2028/2029 Delivery Year as the basis for the Initial RBP Target while updating the underlying load and resource inputs to reflect the most current information available when the RBP is conducted.

G. PJM Proposes to Update Must-Offer and Binding Notice of Intent Rules for Committed RBP Resources.

As PJM originally proposed, and the Commission accepted, a committed RBP Resource must offer its available capacity, up to the total quantity of committed RBP UCAP MW, into the RPM Auctions as a price taker, i.e., $0/MW-day UCAP, beginning with the first RPM Auction following the RBP commitment, for the applicable offered Delivery Year in which the term of the committed RBP UCAP MW begins and continuing each subsequent Delivery Year through the end of the fixed, 15-year term.[143] PJM is not proposing any changes to the overall framework of this requirement in this filing.

[142] Croop Aff. ¶ 8.

[143] Tariff, Attachment DD, section 18.6(a).

However, given that the RBP is now anticipated to commence on March 1, 2027, with final commitments awarded in early May 2027, PJM is updating rules pertaining to when a RBP Resource must first be offered into the RPM Auctions and the associated rules pertaining to the binding notice of intent. Specifically, PJM is making clear that any committed RBP Resource will be required to be offered into the RPM Auction associated with the first Delivery Year that such resource has an RBP commitment and is expected to be in service.[144] That must offer obligation, regardless of resource type, will continue through the end of the term of the RBP commitment.

The only exception to this general rule is that if an RBP Resource has a commitment beginning with the 2030/2031 Delivery Year and is *not* the subject of a notice of intent to be offered into the Base Residual Auction for the 2030/2031 Delivery Year, such committed RBP Resource would be required to be offered into the next RPM Auction to the extent such resource has an RBP commitment and is expected to be in service for the relevant Delivery Year.[145] This limited exception is necessary because a Planned Generation Capacity Resource that is not the subject of a notice of intent to offer would not have been included in the planning parameters for the 2030/2031 Base Residual Auction. For future auctions, committed RBP Resources would not be required to submit binding notices of intent to offer because PJM will know which resources have an RBP

[144] Proposed Tariff, Attachment DD, section 18.6(a); proposed Tariff, Attachment DD, section 6.6(j); Tariff, Attachment DD, section 6.6A(e).

[145] Proposed Tariff, Attachment DD, section 18.6(a); proposed Tariff, Attachment DD, section 6.6(j); proposed Tariff, Attachment DD, section 6.6A(e); Tariff, Attachment DD, section 5.5(b).

commitment and automatically include those resources in the planning models for the relevant Delivery Years.[146]

IV. REQUEST FOR WAIVER OF TARIFF, ATTACHMENT DD, SECTIONS 16.2 AND 16.3

Under the Tariff provisions approved in the September 29 Order, a Reliability Backstop Auction is triggered if, for three consecutive Delivery Years, the Base Residual Auction "equates to an installed reserve margin that is more than one percentage point lower than the approved PJM Region Installed Reserve Margin."[147] The Base Residual Auctions for the 2027/2028 and 2028/2029 Delivery Years resulted in an installed reserve margin that was more than one percentage point lower than the approved PJM Region Installed Reserve Margin.[148] The Base Residual Auction associated with the 2029/2030 Delivery Year could potentially clear short as well. Should that occur, the current Tariff would require PJM to "declare a capacity shortage and make a filing with FERC for approval to conduct a Reliability Backstop Auction."[149] Additionally, the Tariff also calls

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[146] *See* proposed Tariff, Attachment DD, section 5.5(b)

[147] Tariff, Attachment DD, section 16.2.

[148] *See 2027/2028 Base Residual Auction Reserve Target Shortfall Report*, PJM Interconnection, L.L.C., 1 (Feb. 9, 2026), https://www.pjm.com/-/media/DotCom/markets-ops/rpm/rpm-auction-info/2027-2028/2027-2028-bra-reserve-target-shortfall-report.pdf [https://perma.cc/TA3Y-95AX] ("2027/2028 BRA Report") ("PJM Interconnection cleared the 2027/2028 Base Residual Auction with a reserve margin that is more than one percentage point below the Installed Reserve Margin target, and with total Unforced Capacity of all Base Load Generation Resources less than the forecasted minimum hourly load. This confirmed shortfall constitutes a triggering event as defined in the PJM Tariff, mandating an investigation to determine the root causes of the region's failure to secure sufficient resource adequacy."); *2028/2029 Base Residual Auction Reserve Target Shortfall Report*, PJM Interconnection, L.L.C., 3 (July 14, 2026), https://www.pjm.com/-/media/DotCom/markets-ops/rpm/rpm-auction-info/2028-2029/2028-2029-reliability-backstop-baseload-generation-check.pdf ("2028/2029 BRA Report").

[149] Tariff, Attachment DD, sections 16.3(a)(i)-(ii).

for PJM to "investigate the cause for clearing short of the reliability requirement and to recommend corrective action."[150]

Because the RBP effectively fulfills the same purpose as the Reliability Backstop Auction called for in Tariff, Attachment DD, section 16, in the July 31 Filing, PJM proposed to reset the timeframe for triggering a Reliability Backstop Auction and the investigation into the triggering shortfalls to the restart "with the 2032/2033 Delivery Year and thereafter."[151] The September 29 Order accepted and suspended this change effective February 28, 2027.[152]

Given that these accepted revisions do not become effective until February 28, 2027, to the extent the 2029/2030 Base Residual Auction, held in December 2026, clears short of the reliability requirement, the currently effective Tariff would require PJM to "investigate the cause for the shortage, and recommend corrective action,"[153] but such investigation would then cease once the accepted tariff records become effective. Because the RBP is designed to address the shortfall and to avoid an unnecessary expense of resources, PJM requests waiver of the obligation in Tariff, Attachment DD, section 16.2 to perform such investigation.

The Commission will grant waiver of tariff provisions where: (1) the applicant acted in good faith; (2) the waiver is of limited scope; (3) the waiver addresses a concrete problem; and (4) the waiver does not have undesirable consequences, such as harm to third

[150] Tariff, Attachment DD, section 16.2.

[151] July 31 Filing, Attachment B at proposed Tariff, Attachment DD, sections 16.2, 16.3(a)(i)-(ii).

[152] *See* September 29 Order, 196 FERC ¶ 61,245 at P 1 n.3 & Appendix A; ordering para. (A).

[153] Tariff, Attachment DD, section 16.2.

parties.[154] This one-time prospective waiver satisfies all four of the Commission's waiver criteria.

First, the waiver request is being submitted in good faith. As noted above, such investigation is unnecessary and would needlessly expend scarce resources. PJM has already issued two reports detailing the causes of the shortfall from the 2027/2028 and 2028/2029 Base Residual Auctions.[155] Given that many of the same supply constraints and load growth remains for the 2029/2030 Delivery Year, it is unlikely that further investigation will discover different reasons for the current resource adequacy position. Additionally, this FPA section 205 filing proposes to commence the RBP on March 1, 2027, which is designed as a stop-gap measure to address the expected resource adequacy shortfall that would be duplicative of a Reliability Backstop Auction. Moreover, PJM is already actively engaged with stakeholders through its "Powering Reliability Through Markets" discussions designed to formulate updated market rules that will more efficiently and effectively provide resource adequacy for the PJM Region.[156]

Second, the waiver request is of limited scope. PJM seeks a one-time waiver of Tariff, Attachment DD, sections 16.2 and 16.3 upon completion of the 2029/2030 Base Residual Auction in the event such auction clears short. Third, the waiver request addresses a concrete problem—the obligation to conduct an investigation into the cause of

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[154] *PJM Interconnection, L.L.C.*, 191 FERC ¶ 61,202, at P 14 (2025) (citing waiver standards and allowing tariff waiver to implement equitable relief in light of certain tariff provisions); *see Midcontinent Indep. Sys. Operator, Inc.*, 154 FERC ¶ 61,059, at P 13 (2016) (same).

[155] *See* 2027/2028 BRA Report; 2028/2029 BRA Report.

[156] *Powering Reliability Through Market Design Workshops*, PJM Interconnection, L.L.C., https://www.pjm.com/committees-and-groups/workshops/prtmdw [https://perma.cc/6K9W-YRL8] (last visited Oct. 28, 2026).

the shortage and recommend corrective actions. As noted, this is appropriate given that PJM will already be conducting the RBP on March 1, 2027, and conducting a Reliability Backstop Auction right after the RBP is not necessary. Further, another investigation will likely yield the same conclusions as the two recent reports. Fourth, granting the waiver request will not have undesirable consequences, such as harm to third parties. There is no need to conduct such investigation or to recommend corrective measures. PJM is already going to hold the RBP to procure new capacity.

In short, the waiver request satisfies all four elements for waiver of the Tariff, and PJM asks that the Commission grant the waiver request.

V. STAKEHOLDER CONSULTATION

As required by Tariff, section 9.2(b), PJM consulted the Members Committee and the Transmission Owners on October 22, 2026, seven days prior to submitting this filing.[157] In addition, PJM also consulted with the Transmission Owners on October 22, 2026, in accordance with the Consolidated Transmission Owners Agreement, section 7.5.1(ii).[158] This filing includes feedback and suggestions from stakeholders during that consultation that PJM found meritorious.

VI. PROPOSED EFFECTIVE DATES AND UPDATED RBP TIMING

As noted above, PJM now anticipates commencing the RBP on March 1, 2027, provided the Commission accepts the Tariff revisions proposed herein. This

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[157] Special Members Committee, *Agenda*, PJM Interconnection, L.L.C. (Oct. 22, 2026), https://www.pjm.com/-/media/DotCom/committees-groups/committees/mc/2026/20261022-special/agenda.pdf [https://perma.cc/4F23-H5QB].

[158] Transmission Owners Agreement-Administrative Committee, *PJM TOA-AC Open-Session, Special Session Agenda*, PJM Interconnection, L.L.C. (Oct. 22, 2026), https://www.pjm.com/-/media/DotCom/committees-groups/committees/toa-ac/2026/20261022/20261022-agenda.pdf [https://perma.cc/XEK9-UE59].

commencement date aligns with the Commission's determination to suspend the RBP rules until February 28, 2027, as March 1, 2027, is the first business day on which those rules, as revised in this filing, would be effective. PJM considered whether the RBP could commence earlier than March 1, 2027. However, an earlier commencement would not provide sufficient time to incorporate the most current load forecast and capacity accreditation factors, each of which is expected to become available in or around February 2027 and is necessary to calculate an updated Initial RBP Target. Commencing the RBP on March 1, 2027, therefore provides PJM with the opportunity to employ the most current data available while remaining consistent with the Commission's established effective date for the RBP framework.

In addition, PJM is proposing to extend the RBP Sell Offer window by one week so that it will be open for a total of four weeks.[159] One additional week of the offer window will allow PJM to commence the RBP on March 1, 2027, while providing developers of projects in PJM's cycle 01 interconnection the opportunity to view the study results from phase 1 of the interconnection cycle study, which is currently scheduled to be posted by March 26, 2027.[160] Relatedly, PJM is specifying that if the most current PJM study is available, such study may be used in lieu of an independent consultant report that details the study information and project timeline to support the expected commercial operation date of an RBP Resource.[161]

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[159] Proposed Tariff, Attachment DD, section 18.4.

[160] *See Cycle Timeline*, PJM Interconnection, L.L.C., https://www.pjm.com/planning [https://perma.cc/AL65-9ALQ] (last visited Oct. 28, 2026).

[161] Proposed Tariff, Attachment DD, section 18.5(f).

Further, given that, as discussed in Part II.A, PJM is proposing a new Tariff, Attachment DD, section 18.3A to require for Electric Distributors to report Large Load MW quantities to PJM no later than seven days prior to the commencement of the RBP. An effective date earlier than February 28, 2027, is necessary to afford Electric Distributors time to review the Commission's order, understand the requirement, gather the requisite information, and report it to PJM. Accordingly, PJM is proposing a January 29, 2027 effective date for proposed Tariff, Attachment DD, section 18.3A. However, the Commission should not feel constrained to wait until January 29, 2027, to issue an order on the proposed RBP rules, but should feel free to issue an order whenever it feels appropriate before January 29, 2027.

Finally, PJM respectfully requests that the Commission issue an order on all aspects of this filing no later than January 29, 2027. A Commission order by that date would provide PJM and market participants with sufficient certainty regarding the applicable RBP rules and facilitate orderly administration of the RBP beginning on March 1, 2027. Accordingly, while PJM requests an effective date of February 28, 2027, for most of the substantive Tariff revisions proposed herein, PJM further requests that the Commission act on this filing no later than January 29, 2027, to provide the advance notice necessary for efficient administration of the RBP.

VII. DESCRIPTION OF SUBMITTAL

This filing consists of the following:

1. This transmittal letter;

2. Attachment A – Revisions to the Tariff, in redline format;

3. Attachment B – Revisions to the Tariff, in clean format;

4. Attachment C – Affidavit of Gwen Kelly; and

5. Attachment D – Affidavit of Danielle Croop.

VIII. CORRESPONDENCE

The following individuals are designated for inclusion on the official service list in this proceeding and for receipt of any communications regarding this filing:

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IX. SERVICE

PJM has served a copy of this filing on all PJM Members and on all state utility regulatory commissions in the PJM Region by posting this filing electronically. In

accordance with the Commission's regulations,[162] PJM will post a copy of this filing to the Commission filings section of its internet site, located at the following link: https://www.pjm.com/library/filing-order with a specific link to the newly filed document, and will send an e-mail on the same date as this filing to all PJM Members and all state utility regulatory commissions in the PJM Region[163] alerting them that this filing has been made by PJM and is available by following such link. If the document is not immediately available by using the referenced link, the document will be available through the referenced link within 24 hours of the filing. Also, a copy of this filing will be available on the Commission's eLibrary website located at the following link: http://www.ferc.gov/docsfiling/elibrary.asp in accordance with the Commission's regulations and Order No. 714.[164]

[162] *See* 18 C.F.R. §§ 35.2(e), 385.2010(f)(3).

[163] PJM already maintains, updates and regularly uses e-mail lists for all PJM Members and affected state commissions.

[164] *Electronic Tariff Filings*, Order No. 714, 124 FERC ¶ 61,270 (2008), *final rule*, Order No. 714-A, 147 FERC ¶ 61,115 (2014).

X. CONCLUSION

Based on the foregoing, PJM respectfully requests that the Commission accept the proposed Tariff revisions as discussed herein and effective as proposed.

Respectfully submitted,

/s/ Chenchao Lu

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